

## **Unit 1**

# **Financial Intelligence**

# **Unit 1: Financial Intelligence**

**What is Financial Intelligence?**

**Financial Planning**

**Assessment**

**The Pie**

**The Snowball**

**Preparing a Budget**

**Tracking Expenses**

**Bank Accounts**

**Good Debt and Bad Debt**

**Tips for Uni Students**

**Three Financial Statements**

**1. Balance Sheet**

**2. Income Statement**

**3. Cash Flow Statement**

**Operating Leverage**

**Final Tips**

**Your Financial Plan**

# **General Advice Warning**

**The content of this Unit is not personal financial advice for you**

**It covers general principles**

**... taught as part of university course based on the Australian system.**

**It does not take into account your situation, objectives or needs.**

**You are responsible to consider whether it is suitable**

**... for your personal circumstances.**

**You should consider obtaining financial and tax advice yourself.**

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**Subtitles**

Closed Captions

**Playback Speed**

Slower

Faster

CC



# **What is Financial Intelligence?**

# **Intelligence**

**Who is the 'most intelligent' person that you have ever met?**

**Why did you choose that person?**

**What is it about them that makes them so smart?**

# Multiple Intelligences

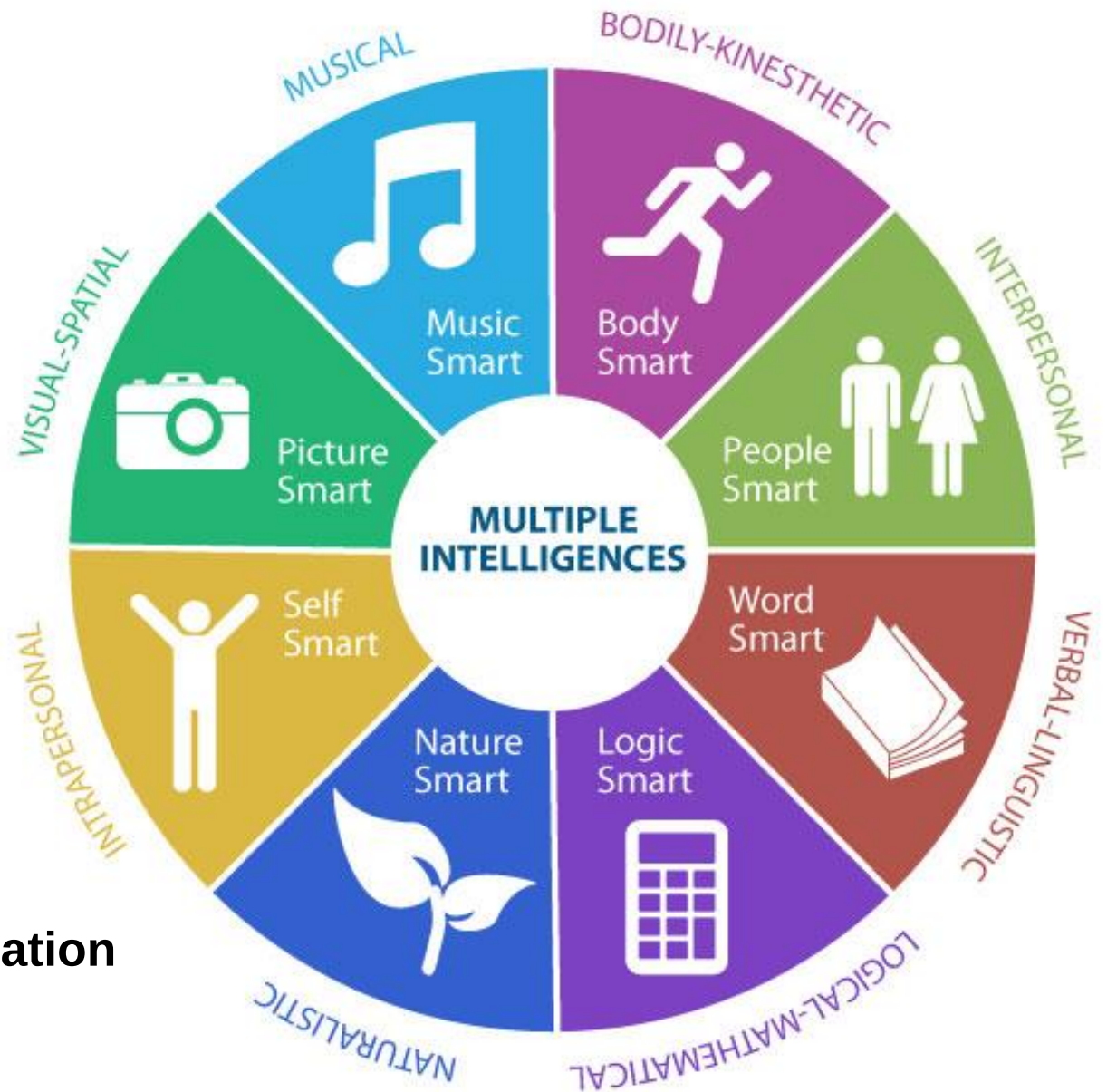


**Howard Gardner**

**Research Professor of Cognition and Education**

**Harvard Graduate School of Education**

Howard Gardner (1983) *Frames of Mind: The Theory of Multiple Intelligences*



# **Financial Intelligence** according to Andrew Hingston

**The science and art  
of turning financial information  
into a ‘meaningful story’  
to help people make better decisions.**

**It involves understanding the past, current and the future**

**It involves understanding the ‘big picture’ ... and ‘the detail’**

**It involves communication and decisions**

Concept developed by Edward Lawler, Dennis Denison, Karen Berman, Jeffrey Pfeffer and John Case.  
[https://en.wikipedia.org/wiki/Financial\\_intelligence\\_\(business\)](https://en.wikipedia.org/wiki/Financial_intelligence_(business))



# **Everyone doing this course is different**

**Financial Intelligence involves**

**understanding your own situation**

**and adapting the concepts covered in this course**

**to help you to achieve your individual goals**

**... and seek advice from a professional if needed.**

# **Most of this course is about the future**

**As we cover concepts in this course be careful about thinking ...**

**... “How can I apply this now?”**

**Instead, ask yourself the question ...**

**“How can I apply this in my 20s?”**

**“How can I apply this in my 30s?”**

**“How can I apply this in my 40s?”**

**... and so on.**

# **Financial Intelligence involves ...**

- 1. Understand your current situation**
- 2. Set Goals for future life stages that are consistent with your values**
- 3. Identify the Gaps between your current situation and future goals**
- 4. Identify Strategies to close the gaps**
- 5. Identify and Manage Risks**
- 6. Implement your Strategies**

# 1. Understand Current Situation

| Income     | Assets        | Cash In     |
|------------|---------------|-------------|
| – Expenses | – Liabilities | – Cash Out  |
| <hr/>      | <hr/>         | <hr/>       |
| = Profit   | = Wealth      | = Cash Flow |

**Are you making a profit or loss each month?**

**Is your wealth increasing over time?**

**Do you have enough cash flow to pay all your bills?**

**What are the main risks to your financial situation?**

## **2. Set Goals for the Future**

**Study and Career**

**Lifestyle, Leisure and Holidays**

**Relationships, Family and Home**

**Free from having to worry about money**

**Work**

**Play**

**People**

**Finances**

**... consistent with your values**

**... for each stage of your life.**

# **3. Identify the Gaps**

**... between my current situation and future needs**

**How much funds are needed?**

**What other resources are needed?**

**When are they needed?**

# **4. Identify Strategies**

**... to close the gaps between your current situation and future needs**

**New sources of income**

**Cut back in expenses**

**Savings plans**

**Tax management plans**

**Investment plans**

# **5. Identify and Manage Risks**

**Loss of income**

**Cost of living (inflation)**

**Investment returns**

**Interest rates on loans**

**Cash flow (liquidity)**

**Loss of property**

**Loss of health (or life)**



# **6. Implement your Strategies**

**Communicate with others**

**Put your plan into action**

**Develop self-control and grit**

**Stay focussed**

**Manage risks**

# **Communication with loved ones**

**... is a key aspect of Financial Intelligence**

# **Summary: What is Financial Intelligence?**

**Financial Intelligence** is the science and art of turning financial information into a 'meaningful story' to help people make better decisions.

- 1. Understand your current situation**
- 2. Set Goals for future life stages that are consistent with your values**
- 3. Identify the Gaps between your current situation and future goals**
- 4. Identify Strategies to close the gaps**
- 5. Identify and Manage Risks**
- 6. Implement your Strategies**

**Communication is a key part of each step**

# **Financial Planning**

# **What is a Financial Planner?\***

**A professional who advises clients on how to manage money and work towards achieving their specific financial goals.**

**Advice may cover savings and investment plans, retirement planning, superannuation and tax planning, insurance, estate planning and risk management.**

**Financial Planners are particularly useful for those aged 40 to 70.**

\* The terms 'Financial Planner' and 'Financial Adviser' can be used interchangeably

# **Why is Financial Planning so important?**

- 1. Ageing population with people living longer**
- 2. Fewer will have access to Age Pension**
- 3. People must take responsibility for their own financial independence**
- 4. Growing balances in retirement savings accounts (superannuation)**
- 5. There are large number of investment options available (some are bad)**
- 6. There are many 'Financial Influencers' (some are bad)**

# Financial Planner Educational Requirements

in Australia

## 1. Complete an Approved Degree Program

UNSW's Financial Planning specialisations for B.Com, Grad. Dip and M.Com are all approved degree programs by Federal Treasury

## 2. Undertake a Professional Year

This is a practical 'hands-on' apprenticeship with an experienced Financial Planner

## 3. Pass the Financial Adviser Exam

This is a standardised test run by ASIC to check technical competency

## 4. Continuing Professional Development (CPD)

40 hours of relevant training and development each year

# **Financial Planners in Australia must ...**

- 1. Satisfy initial and ongoing Educational Requirements**
- 2. Provide advice under a Financial Services Licence**
- 3. Abide by relevant Legislation**
- 4. Provide advice that is in the 'Best Interest' of the client**
- 5. NOT accept commissions on products they recommend**
- 6. Follow the industry 'Code of Ethics'**
- 7. Submit to the government regulator and complaints authority**  
Australian Securities & Investment Commission (ASIC)  
Australian Financial Complaints Authority (AFCA)

**It is also a good for them to be a member of the main industry body**

**Financial Advice Association of Australia (FAAA)**



# **The Financial Planning Process in Australia**

- 1. Gather client information**
- 2. Establish financial goals and objectives**
- 3. Analyse data and identify financial issues**
- 4. Prepare and develop a written Statement of Advice\***
- 5. Implement the agreed-upon recommendations**
- 6. Review and revise the Statement of Advice\***

**Unfortunately ... this is very expensive for most young people!**

A Statement of Advice can cost \$5,000 to \$10,000 upfront + \$1,000 (or more) per year

\* A 'Statement of Advice' is just the formal name for a written 'Financial Plan' document.

# **The Goals of This Course**

- 1. For you to be your own financial planner until age 40\***
- 2. To prepare you to find a suitable financial planner after age 40**
- 3. To equip you to seek advice from other professionals if necessary**
- 4. To encourage some to become professional financial planners**

\* However, you should still seek advice from a qualified Financial Planner, Tax Adviser, Accountant or other specialist if needed below age 40.

# **Summary: Financial Planning**

**Financial Planning is of growing importance in Australia.**

**Financial Planners:**

- 1. Help people to achieve their financial goals**
- 2. Have strict educational requirements**
- 3. Must be licenced, follow relevant legislation, regulation and processes**

This makes it expensive to provide advice to young people

**The goal of this course is to help you until age 40 ... and beyond**

**... and encourage some to become Financial Planners in the future.**

# **Assessment**

# **Financial Plan Assignment (50%)**

**You develop a comprehensive financial plan for yourself**

**Not just for now ...**

**... but covering each of your future life stages.**

**One of the most valuable assignments you will do at university!**

**It is important that you work on it each week as the course progresses**

Detailed instructions in the 'Financial Plan Instructions' document  
under the 'Financial Plan' section of the course website

# **Learning Community Assignment (10%)**

**Most people below 40 cannot afford a Financial Planner**

**You need to keep reading, watching videos and listening to podcasts\***

**Each student in this course must post a summary of one good article\*\* under the 'Learning Community' section of the course website.**

**This will form a 'knowledge bank' that will get you started**

Note that you will lose access after you graduate from UNSW

Detailed instructions in the 'Learning Community Instructions' document under the 'Learning Community' section of the course website

\* The Australian Finance Podcast by Owen & Kate (Rask Australia) on Youtube and Spotify is one example

\*\* An 'article' can be almost anything: website article, newspaper article, audio podcast, video, academic research article, book chapter ...

# **Adviser Engagement Assignment (20%)**

**Obtaining good financial advice is important after the age of 40\***

**Video roleplays of real financial advisers interacting with clients**

**Some videos contain good financial advice**

**Some videos contain bad financial advice**

Detailed instructions in the 'Adviser Engagement Instructions' document  
under the 'Adviser Engagement' section of the course website

\* However, you should still seek advice from a qualified Financial Planner, Tax Adviser, Accountant or other specialist if needed below age 40.

# **Online Quizzes (20%)**

**There are also online quizzes on each Unit**

**... so that you do not fall behind**

**... and to give you quick feedback on your learning.**

**Your lowest two quiz scores are not included**

**... so you can miss two quizzes and it doesn't affect your grade.**

**There is no special consideration for this assessment**

**... for sickness, accident, work, travel or late enrolment.**



# Summary: Assessment

## 1. Learning Community 10%

Post a summary of an article to crowd-source knowledge about personal finance

## 2. Online Quizzes 20%

Complete online quiz on each Unit after completion to avoid falling behind

## 3. Adviser Engagement 20%

Learn about the process of receiving (or providing) financial advice

## 4. Financial Plan 50%

Develop a comprehensive financial plan for your future life stages

**Detailed instructions and due dates are on the course website**

# **Discussion**

**In groups of 2 or 3 with the people around you ...**

**Find out:**

- 1. What is their name?**
- 2. Where are they from?**
- 3. What other courses they are studying this term?**
- 4. What do they like to do for fun?**
- 5. What do they want to do after they finish their degree?**

# The Pie

# Accountants think this way ...

$$\text{Income} - \text{Expenses} = \text{Profit (Saving)}^*$$

Profit (the amount you save) depends on income and expenses

\* In this course the 'Profit' that you earn over a period is treated the same as the amount you 'Save' over that same period.  
It might seem a little strange to think about a household making a 'profit'. Most textbooks call it a 'Surplus/Deficit' but I prefer 'Profit/Loss'

# **Accountants think this way ...**

$$\text{Income} - \text{Expenses} = \text{Profit (Saving)}^*$$

Profit (the amount you save) depends on income and expenses

# **Financially Intelligent people think this way ...**

$$\text{Income} - \text{Profit (Saving)}^* = \text{Expenses}$$

Expenses depend on your income and profit (the amount you save)

\* In this course the 'Profit' that you earn over a period is treated the same as the amount you 'Save' over that same period.  
It might seem a little strange to think about a household making a 'profit'. Most textbooks call it a 'Surplus/Deficit'. I prefer 'Profit/Loss'

# The Pie

# The Pie is your total income each month

## Personal income

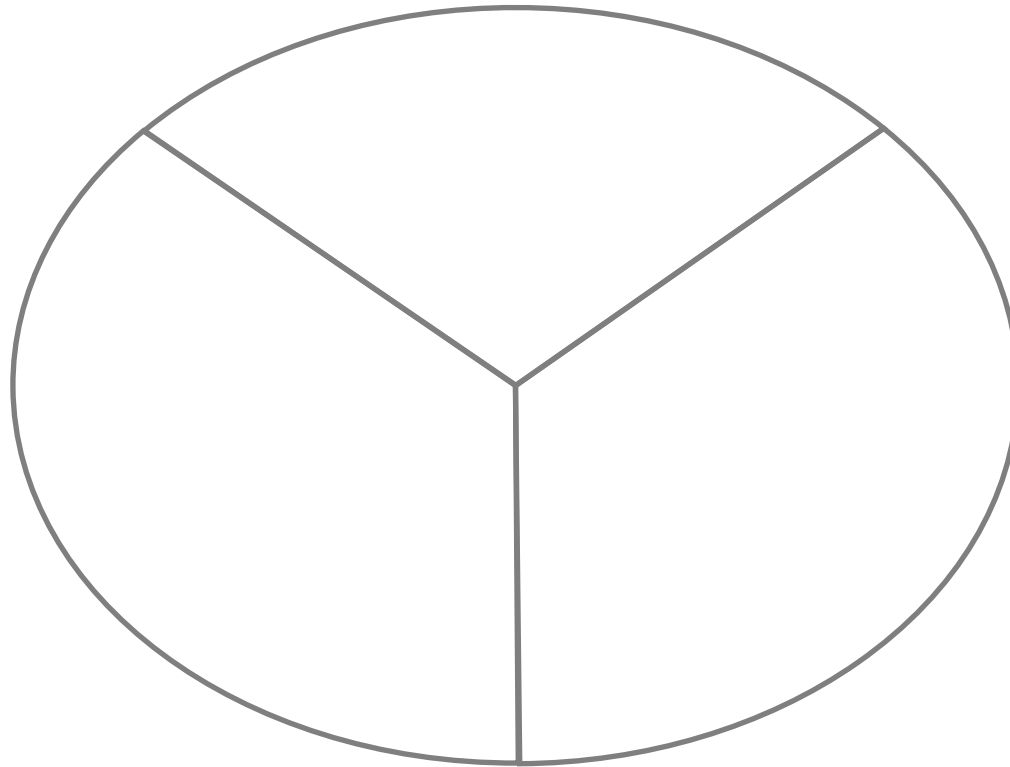
Salary or wages

## Investment income

Interest, rent, dividends  
gains in value

## Other income

Support from family  
Social security  
Scholarships



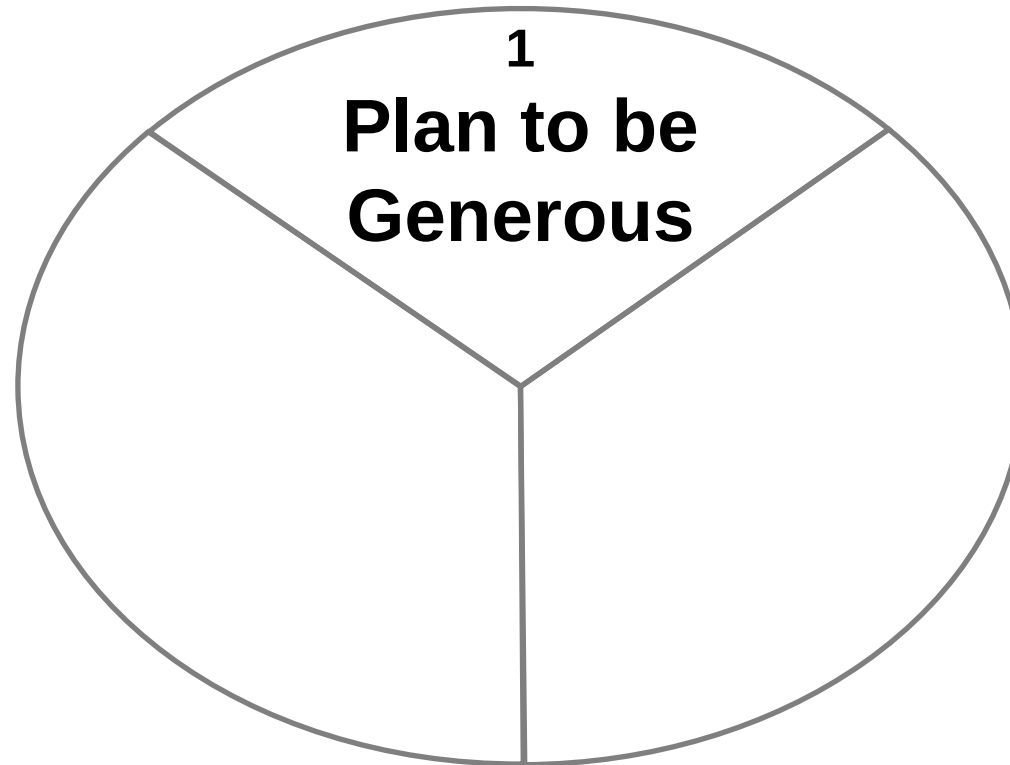
# Slice 1: Plan to be Generous

Family

Friends

Community (charity, tax)

Public services (tax)



In Unit 2 we will see that pro-social behaviour is correlated with happiness  
Unit 8 explores how the tax system works and its importance to society



# Slice 2: Plan for the Future

## Save for peace of mind

Cash Buffer, Emergency Fund

## Save to spend

Holiday, motor vehicle ...

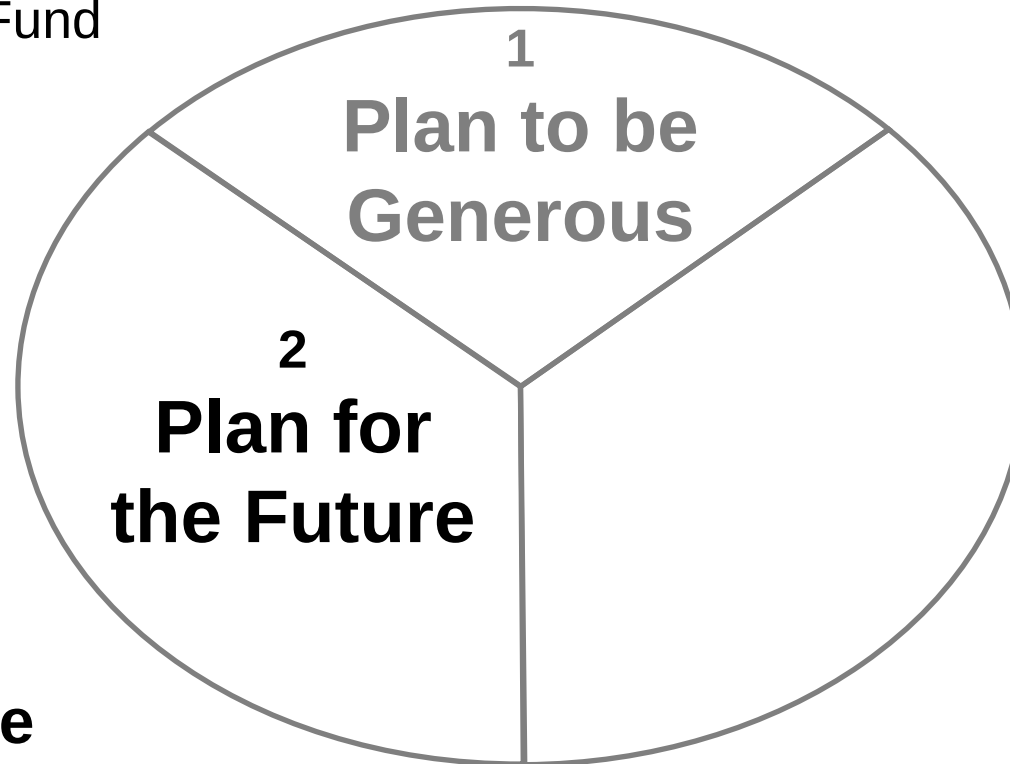
## Save to invest

Property, shares,  
Superannuation ...

## Manage debt

## Protect things you value

Insurance, wills ...



**The focus of Units 1, 3, 5, 7, 9 and 10**

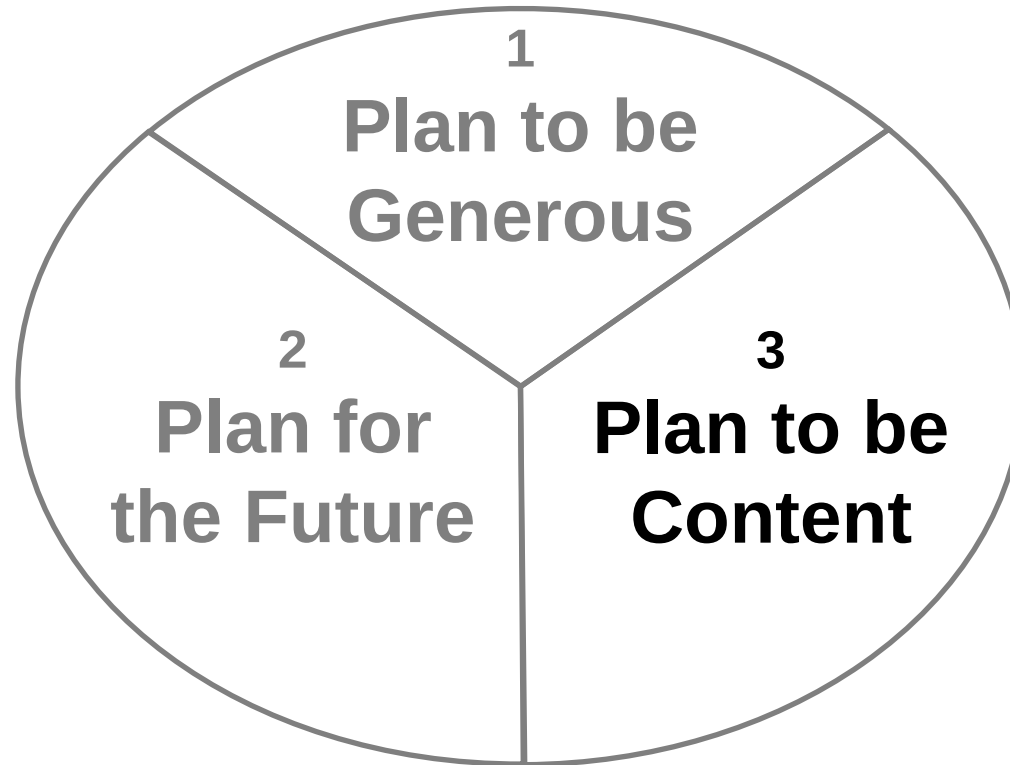
# Slice 3: Plan to be Content

The residual component of the pie

Track Expenses

Budget

Optimise

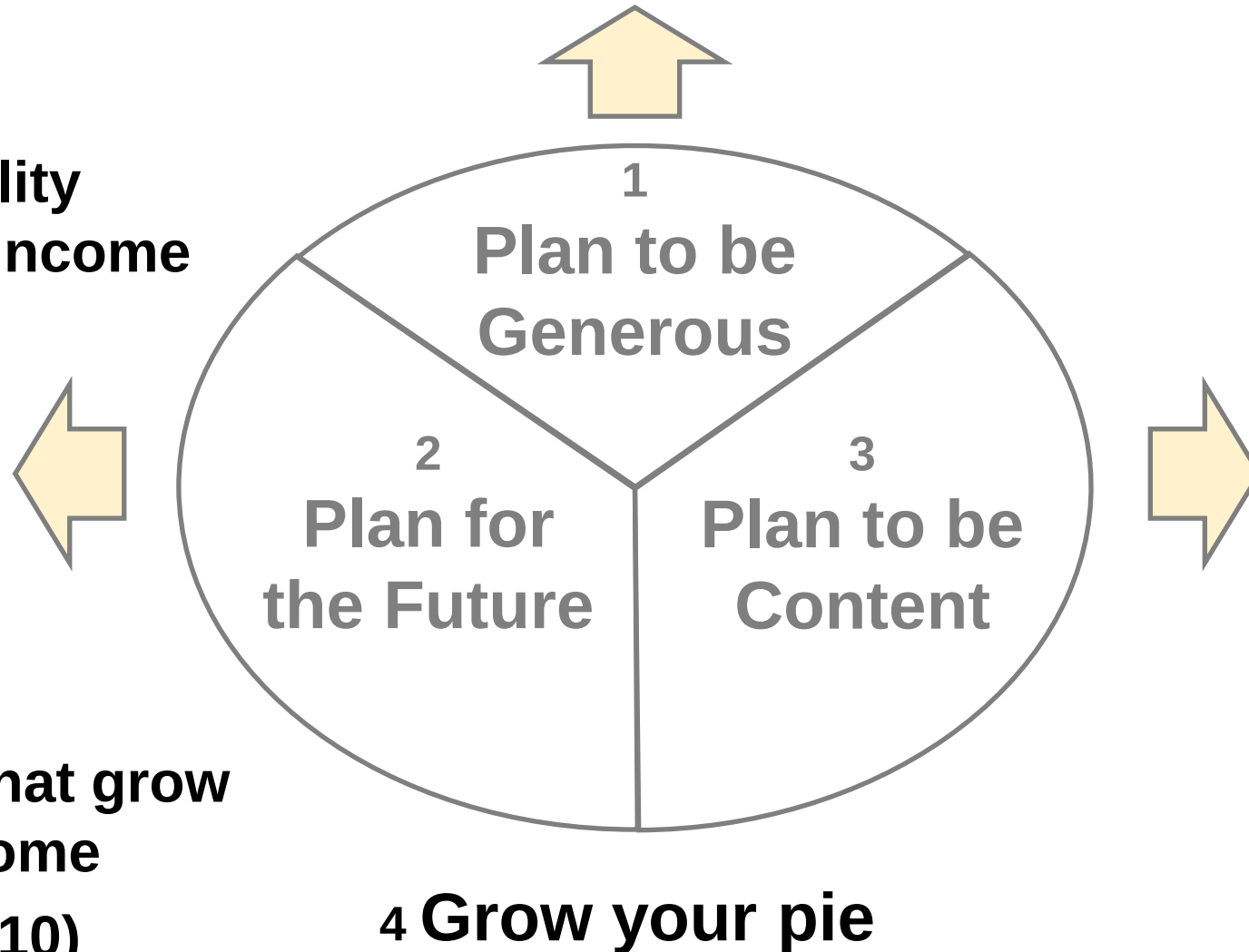


The focus of Unit 1 and 2

# 4. Plan to grow your Pie

**Invest in your ability  
to earn personal income  
(Unit 4)**

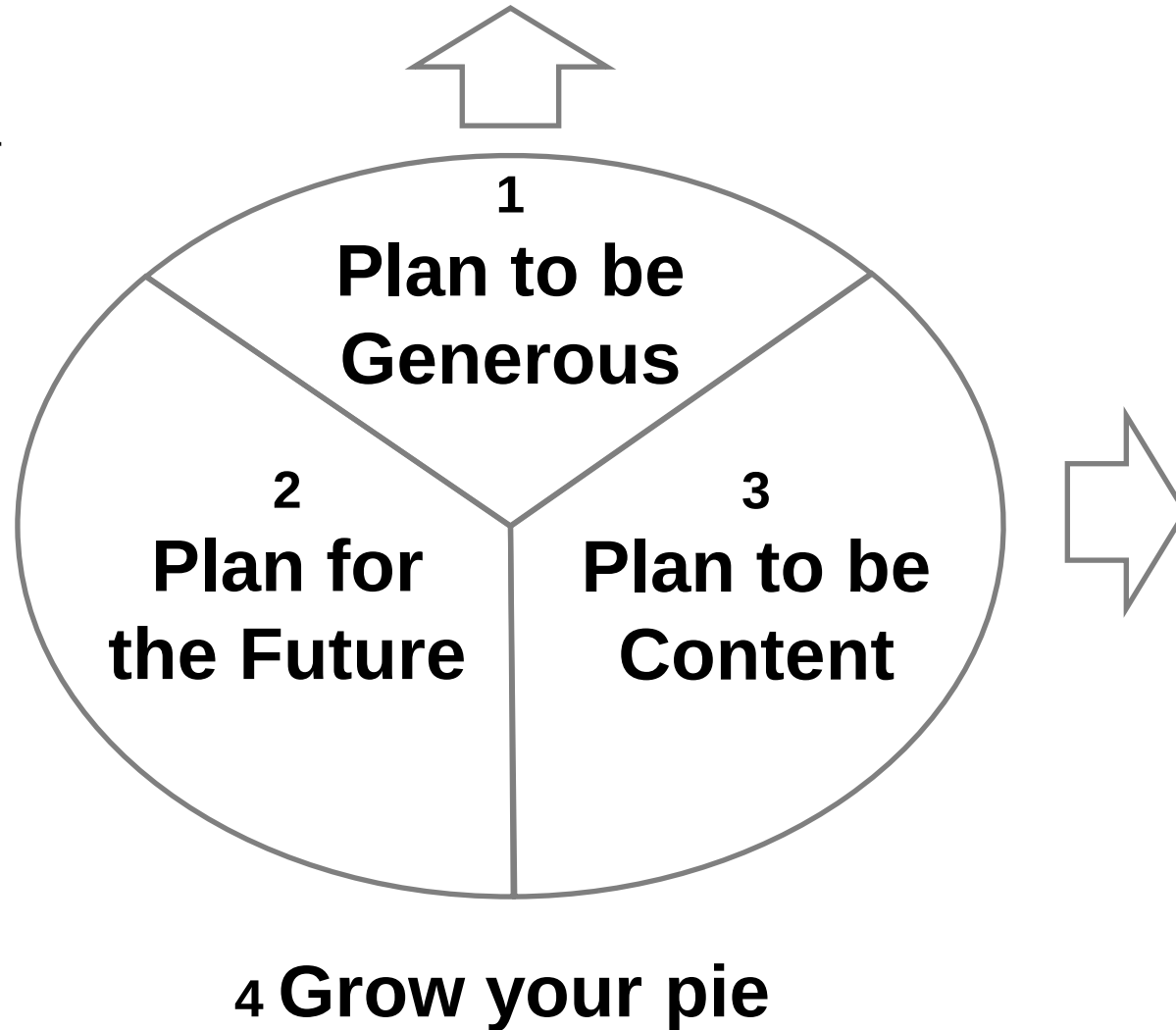
**Invest in assets that grow  
and generate income  
(Units 3, 5, 9 and 10)**



# Summary: The Pie

Your **pie** is your  
**total income**  
each month

and what you do with it!



# **The Snowball**

# **Why do some end up wealthy ... and others poor?**

**It is usually a mix of skill, effort and chance.**

# One reason why people have different wealth

## Person 1

|                        |       |
|------------------------|-------|
| Wealth at start        | \$0   |
| Income (per day)       | \$100 |
| Expenses (per day)     | \$99  |
| Profit (per day)       | \$1   |
| Wealth after 1 day*    | \$1   |
| Wealth after 100 days* | \$100 |

\* I assume 0% interest rate on savings here for simplicity. I will relax this assumption a bit later.

# One reason why people have different wealth

## Person 1

|                        |       |
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| Profit (per day)       | \$1   |
| Wealth after 1 day*    | \$1   |
| Wealth after 100 days* | \$100 |

## Person 2

|                        |         |
|------------------------|---------|
| Wealth at start        | \$0     |
| Income (per day)       | \$100   |
| Expenses (per day)     | \$90    |
| Profit (per day)       | \$10    |
| Wealth after 1 day*    | \$10    |
| Wealth after 100 days* | \$1,000 |

There are many different causes of wealth inequality in society

One reason is skill and effort of keeping expenses under control

\* I assume 0% interest rate on savings here for simplicity. I will relax this assumption a bit later.



# **If you would like to build wealth**

**Earning more income will not help if you keep spending it all\***

**We all need to keep expenses under control**

- 1. Cut Costs      do it cheaper**
- 2. Cut Back      do it less**
- 3. Cut Out      don't do it at all**

**... and avoid 'rewarding yourself' for cutting back in expenses!**

\* Many students are not currently working and so might not currently be earning an income. This slide is for when you do earn an income!

# Another reason why people have different wealth

## Person 1

|                       |           |
|-----------------------|-----------|
| Wealth at start       | \$0       |
| Income (per year)     | \$100,000 |
| Expenses (per year)   | \$99,000  |
| Profit (per year)     | \$1,000   |
| Investment return*    | 8.5%      |
| Wealth after 40 years | \$295,683 |

\* I am assuming this is a long-term investment invested in property and/or shares. Returns will vary from year to year. More on this in Units 2, 9 and 10.

# Another reason why people have different wealth

## Person 1

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| Wealth at start       | \$0       |
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| Profit (per year)     | \$1,000   |
| Investment return*    | 8.5%      |
| Wealth after 40 years | \$295,683 |

## Person 2

|                       |             |
|-----------------------|-------------|
| Wealth at start       | \$0         |
| Income (per year)     | \$100,000   |
| Expenses (per year)   | \$90,000    |
| Profit (per year)     | \$10,000    |
| Investment return*    | 8.5%        |
| Wealth after 40 years | \$2,956,825 |

There are many different causes of wealth inequality in society

One reason is skill and effort of regularly saving and investing

\* I am assuming this is a long-term investment invested in property and/or shares. Returns will vary from year to year. More on this in Units 2, 9 and 10.

# Quote

The most powerful force in  
the universe is  
**compound interest**

*Attributed to Albert Einstein*

# **The Snowball is your Investment Assets**

**... that generate cash flow.**

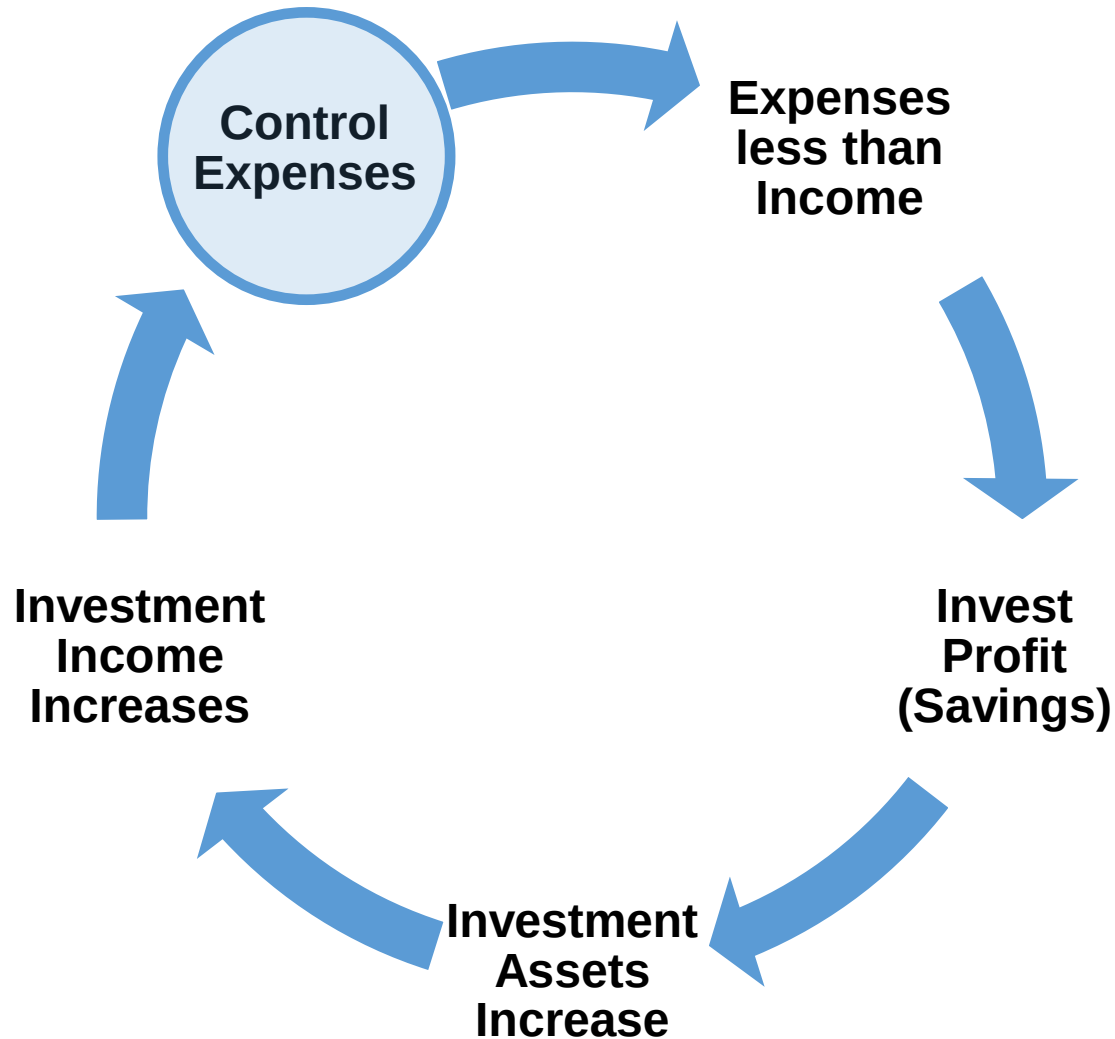
**Savings Accounts, Term Deposits, Shares and Investment Properties**

# **Getting Rich SLOWLY**

**If you want to 'Get Rich Quick' you may be  
sucked in by scams  
or lose a lot of money in a failed start-up.**

**We will see that the key to creating wealth  
is to simply save regularly over your entire working life  
and to make sure those funds are invested appropriately.**

# Controlling expenses gets your snowball going!



**For most people**  
**Income = Expenses**  
**... so nothing to invest!**

# **Controlling expenses ... how to do it**

## **1. Prepare a Budget**

... for when your situation is about to change

## **2. Track Expenses**

... for when you are spending too much or need more information

## **3. System of Accounts**

... for when you want a long-term system to help you save and invest

**The three methods are useful in different situations**



# **Summary: The Snowball**

**One reason for wealth inequality is skill and effort of controlling expenses.**

**Compounding of returns makes a big different in the long-term.**

**The Snowball is your investment assets that generate cash flow.**

**As your snowball grows ... it builds momentum.**

**Getting rich slowly is a key concept of this course.**

Beware of 'Get Rich Quick' scams

**Controlling expenses is necessary to keep your snowball growing.**

1. Budgets, 2. Track Expenses and 3. System of Accounts

## **Controlling Expenses**

# **1. Preparing a Budget**

# Have you ever made a budget?

... or been told you should?

- 1. Estimate your income**  
How much is coming in?
- 2. List your expenditure**  
How much is going out?
- 3. Do the math**  
Are you in surplus / deficit?

| Expenditure |                              | Regular monthly payments account | Cash account (monthly) | Savings account (monthly) |
|-------------|------------------------------|----------------------------------|------------------------|---------------------------|
| Home        | Rent or Mortgage             |                                  |                        |                           |
|             | Strata Fees                  |                                  |                        |                           |
|             | Council Rates                |                                  |                        |                           |
|             | Water                        |                                  |                        |                           |
|             | Gas                          |                                  |                        |                           |
|             | Electric                     |                                  |                        |                           |
|             | TV Package                   |                                  |                        |                           |
|             | Landline                     |                                  |                        |                           |
|             | Mobile Phone 1               |                                  |                        |                           |
|             | Mobile Phone 2               |                                  |                        |                           |
|             | Internet                     |                                  |                        |                           |
|             | House and Contents Insurance |                                  |                        |                           |
|             | Appliance Rental             |                                  |                        |                           |
| Living      | Food / Household Needs       |                                  |                        |                           |
|             | Clothing and Footwear        |                                  |                        |                           |
|             | Laundry and Dry Cleaning     |                                  |                        |                           |
|             | Prescriptions                |                                  |                        |                           |
|             | Medical Expenses             |                                  |                        |                           |
|             | Private Health Insurance     |                                  |                        |                           |
|             | Bank Account Fees            |                                  |                        |                           |
|             | Hair Cuts                    |                                  |                        |                           |

# What is a Cash Flow Budget?

**Estimate of future ...**

**Cash inflows** (usually income)

**Cash outflows** (usually living expenses, purchases and loan payments)

**usually on a monthly and annual basis**

**with a commitment to make improvements.**

**The key thing is whether the regular cash coming in (income)**

**is enough to cover the cash going out (expenses and loan payments).**

# **Good reasons to prepare a budget**

- 1. Process can give you ideas about how to improve outcomes**
- 2. Identifies future expenses that require a savings plan**
- 3. Allows you to compare budget with actual numbers** (variance analysis)
- 4. Identifies areas of over-spending and/or under-spending**
- 5. Helps us to be accountable and stay disciplined**
- 6. Helps us to save more ... which is key to building wealth**
- 7. Improves your financial intelligence and skills**
- 8. Easy and quick to do if you have good software**

# **Budgets are particularly useful when ...**

**You are changing circumstances:**

- 1. Moving out of home**
- 2. Moving to a new country or city to study or work**
- 3. Getting married**
- 4. Buying your first home (and getting a home loan)**
- 5. Giving birth to your first child**
- 6. Children starting school**
- 7. Approaching retirement**

**If spending is out of control, better to focus on tracking expenses.**

# Free Online Budget Planner

The Australian Government

Moneysmart Website

has a great budget planner!

Budget planner

View 

Annually

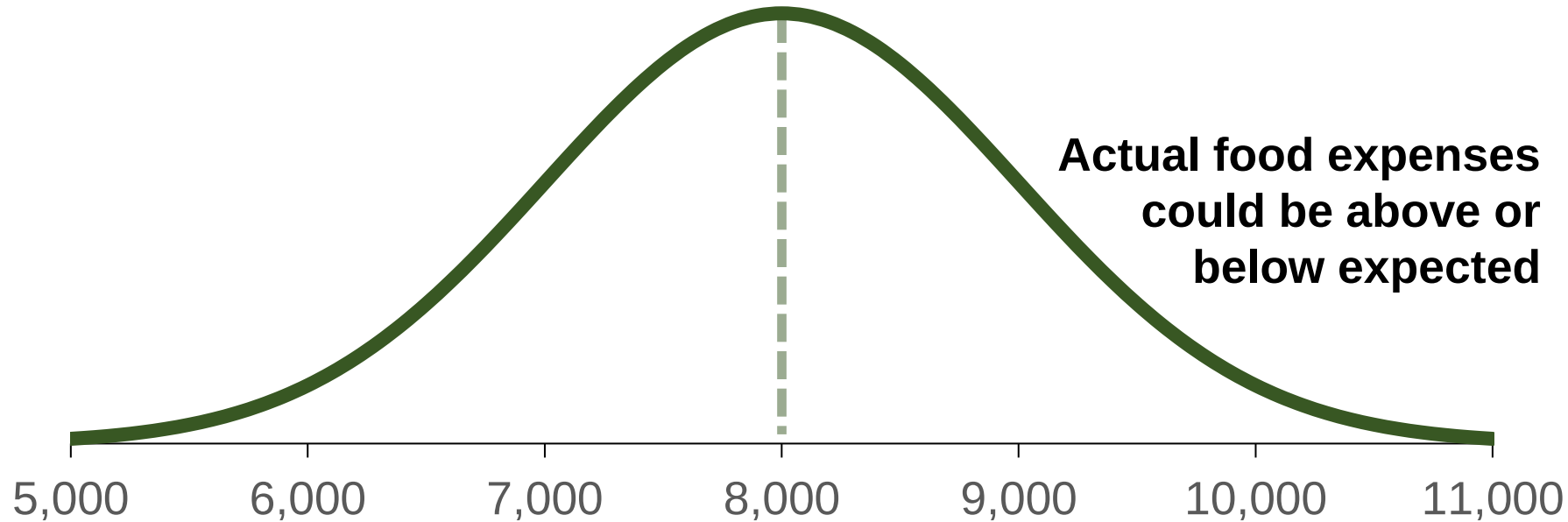
|                           |     |
|---------------------------|-----|
| ● Income                  | \$0 |
| ● Home & utilities        | \$0 |
| ● Insurance & financial   | \$0 |
| ● Groceries               | \$0 |
| ● Personal & medical      | \$0 |
| ● Entertainment & eat-out | \$0 |
| ● Transport & auto        | \$0 |
| ● Children                | \$0 |
| Summary                   | \$0 |

# Middle of the Road Estimate

Estimates should be in the middle of what is expected to happen

Forecasts get more accurate with experience and stability

Food Forecast = Expected value = \$8,000





# **A budget involves ... learning from the past**

## **1. Learn from the past**

Track expenses for a few months or download transactions from bank account

## **2. Identify and remove extraordinary items**

## **3. Calculate average monthly spend per category**

## **4. Make assumptions about interest rates and investment returns**

## **5. Identify how your work or living situation may change next year**

## **6. Estimate impact of these changes on your future income and expenses**

## **7. Add a 'buffer' for extraordinary or unexpected items**

Include as 'miscellaneous other' ... normally at least 10% of your regular expenses

**You now have a forecast of your future income and expenses**

**... but could we improve things?**

# A budget involves ... making improvements

## 8. Identify ways to increase income

Work longer hours, career advancement, ask for a raise, bonuses, investment income ...

## 9. Identify ways to reduce expenses

Cut subscriptions, use public transport, make lunch, dine out less, don't get a new phone ...

## 10. Identify ways to reduce risk to income and expenses

Look after physical and mental health, learn new skills, maintain car, buy insurance

## 11. Find a 'buddy' to keep you accountable

Ask a trusted friend or family member to keep you accountable to achieve your budget

## 12. Track actual income and expenses and compare with budget (variance analysis)

Track actuals against budget, self-correct behaviour, learn from the process

# Three ways to reduce expenses

1. **Cut Costs**      **do it cheaper**
2. **Cut Back**      **do it less**
3. **Cut Out**      **don't do it at all**

**... and avoid 'rewarding yourself' for cutting back in expenses!**

# Tips for preparing budgets

1. Track expenses for a few months first
2. Include your partner in the process
3. Be realistic ... don't set goals that you will definitely fail
4. Include a generous **buffer** to allow for errors or unexpected expenses
5. Avoid being harsh by including *fun* in your budget
6. Avoid being stingy by including *gifts* in your budget
7. Aim to save at least 20% of your income (profit margin)
8. Use software to budget and track expenses

# **Summary: Preparing a Budget**

**A Cash Flow Budget is an estimate of future cash inflows and outflows**

**... usually on a monthly and annual basis**

**... with a commitment to make improvements.**

**Budgets tend to be most useful when your situation is changing.**

**If your spending is out of control, probably better to track expenses.**

**Preparing a budget helps to improve your financial intelligence**

**It should be based on 'middle of the road' expected future values**

**Remember to include some 'fun' in your budget!**

**Controlling Expenses**

## **2. Tracking Expenses**

# **The Problem with Budgets is that many people ...**

**Know they should do them ... but don't.**

**Don't know how much they are currently spending.**

**Are too strict when they make a budget (no fun).**

**Fail to budget for unexpected expenses.**

**Fail to track expenses to see whether they achieve the budget.**

**Fail to keep to the budget once it has been made.**

**Vow to never waste time doing a budget again!**

# **If your situation is not changing ...**

**It could be better to simply start tracking your income and expenses.**

**This one action is 'life changing' for many people!**

**When you start observing your spending behaviour ...**

**... most people change their behaviour.**

**Regular information is powerful**

**... it gives you ideas about how to improve your income and spending.**



# Alternatives for Tracking Expenses

## 1. Manual Tracking

Ask for receipts when you buy something in a shop.

Note down your income and expenses each day in a diary, ledger, spreadsheet or app.

Add them up income and expenditure at the end of the month.

## 2. Download Transactions

Try to buy everything using a debit card.

Download transactions at the end of each month from online banking into spreadsheet.

Delete irrelevant transactions and then add up income and expenditure.

## 3. Automated Tracking

Some banks now provide automated tracking tools (such as UBank and Up Bank)

Most banks can also send data automatically to a third-party service (such as Frollo app)

\* Frollo can only do this if you grant them permission to do so from your online banking account. You do NOT share your password with them.

**Tracking expenses becomes fun after a while!**

# **Summary: Tracking Expenses**

**Most people fail to make budgets and keep to them.**

**It can be better to just get into the habit of tracking income and expenses.**

**There are three common methods:**

- 1. Manual tracking in a diary, ledger or spreadsheet**
- 2. Download transactions into a spreadsheet**
- 3. Automated tracking through a bank or app (such as Frollo)**

**Tracking expenses becomes fun once you get into the habit.**

**Controlling Expenses**

# **3. System of Accounts**

# **The Problem with Tracking Expenses ...**

**Is that most people can't keep doing it!**

**It also doesn't organise your savings for different objectives.**

**What we need is a system of bank accounts to help us save and invest**

**... over the long-term!**

# Bank Transaction Accounts

Mainly used to help you buy things and pay bills

Interest rate is normally zero

Instant Transfer to other accounts with **AP+** (up to daily limit)

Debit Card is used for electronic transactions

Purchases on debit card take funds instantly from your account

Monthly account fees

Cash withdrawals at ATM cash machines may incur additional fees

**Government guarantee on balances up to \$250,000** (all accounts with one bank)

\* AP+ (Australian Payments Plus) is Australia's system of instant bank transfers. It is an amalgamation of Bpay Group, eftpos and NPP Australia.

# **Bank Savings Accounts**

**Mainly for savings that may be needed within 12 months**

**Often have bonus interest rates if linked to Transaction Account**

**Instant transfer of funds to other accounts** (up to daily limit)

**Usually cannot use to directly pay bills or buy things**

**Usually no monthly account fees**

**Government guarantee on balances up to \$250,000** (all accounts with one bank)

# Electronic Payments

**When you buy something with a Debit Card you have two choices:**

## **1. Insert Card**

Select 'Transaction Account' and enter PIN

Payment will go through eftpos\* system

Fees usually 0% to 0.5% (often zero)

## **2. Tap Card or Phone**

If transaction is above \$100 you need to also enter PIN

Payment will go through Visa, Mastercard, Apple Pay or Google Pay

Fees usually 0.5% to 1.0%

\* eftpos (Electronic Funds Transfer at Point of Sale) is the name of Australia's electronic payment services for bank accounts. It was established in 1984 but has received a number of major upgrades since then.



# **Is it better to pay using notes and coins?**

**Withdraw a fixed amount of cash\* each week for spending**

**... and stop when it runs out.**

**Buying things 'feels' more expensive when paying with cash.**

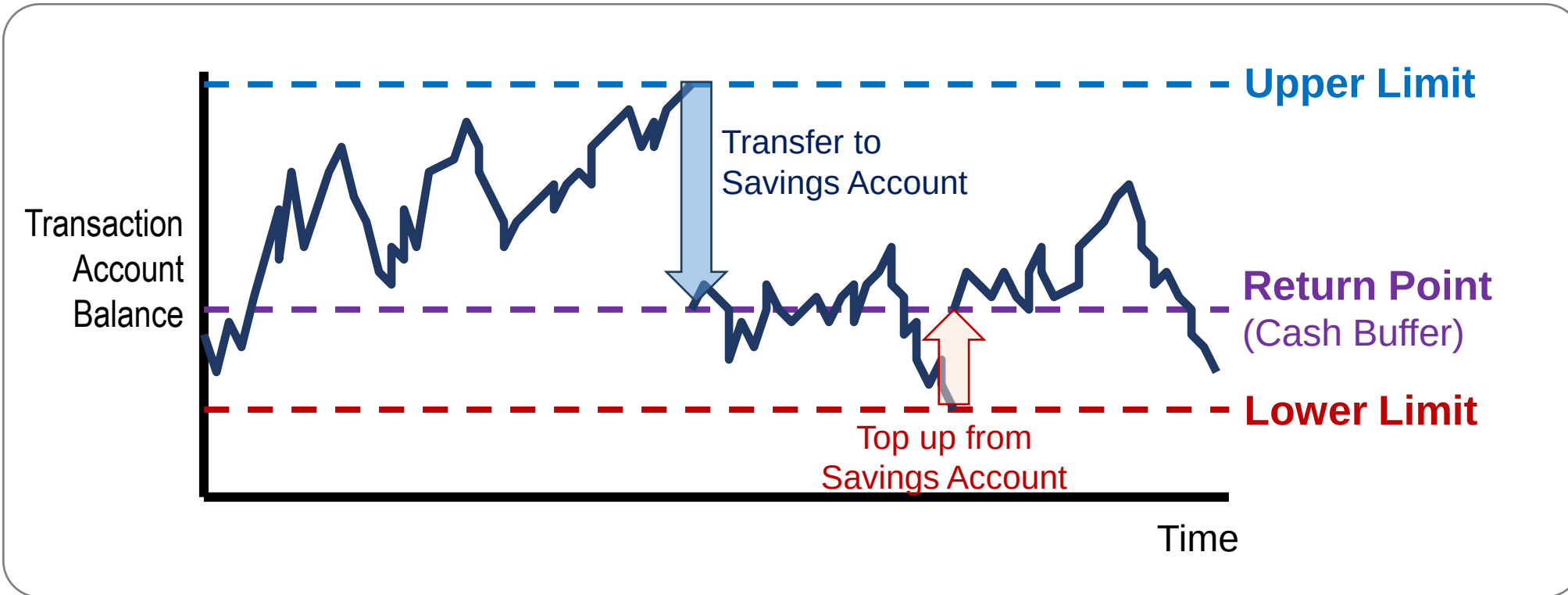
**This can help you to control your spending.**

**However, paying with cash can make it more difficult to track expenses.**

\* Cash means physical currency (notes and coins) on this slide. Later on in this Unit it will take on a different meaning!

# Cash Buffer in Transaction Account

Your transaction account balance should never get close to zero



**Note that Cash Buffer\* is not a standard term for the Return Point.**

\* Cash Buffer is the term I use but I have also seen the return point called your 'Float'.

# **Emergency Fund** or Financial Slack

**It is important to save up funds into an Emergency Fund**

**This should be a minimum of \$2,000**

**... and then build up over time to 6 months of living expenses**

**This provides peace of mind for paying rent and mortgage payments**

**if you suddenly lose your job, have a health problem or there is a crisis**

**Another name for this is 'Financial Slack' since it provides you with the 'flexibility' to handle a downturn in your income.**

# Three Account System

## 1. Regular Payments Account

Receives your salary or wage from your employer (usually every 2 weeks)

Automatically pays regular bills (rent, phone, electricity etc) and periodic payments

Sweeps money into Weekly Spending Account and Savings Account

## 2. Weekly Spending Account

Receives a fixed amount each week from Regular Payments Account

Use to buy things using either cash withdrawals or a linked Debit Card

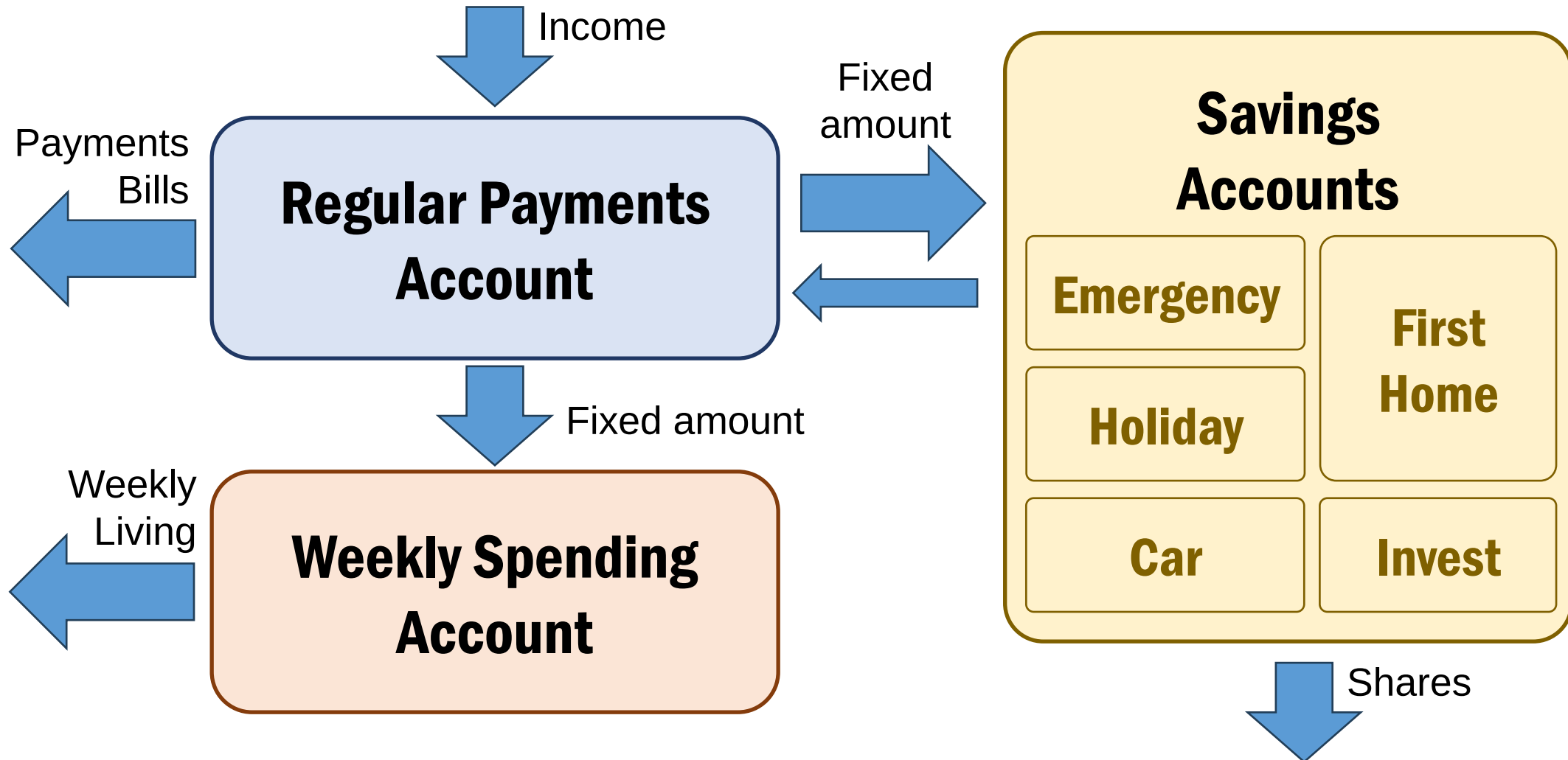
## 3. Savings Account(s)

Receives a fixed amount each week from Regular Payments Account

Used for medium to long-term savings

Multiple accounts savings accounts can be used for different savings goals

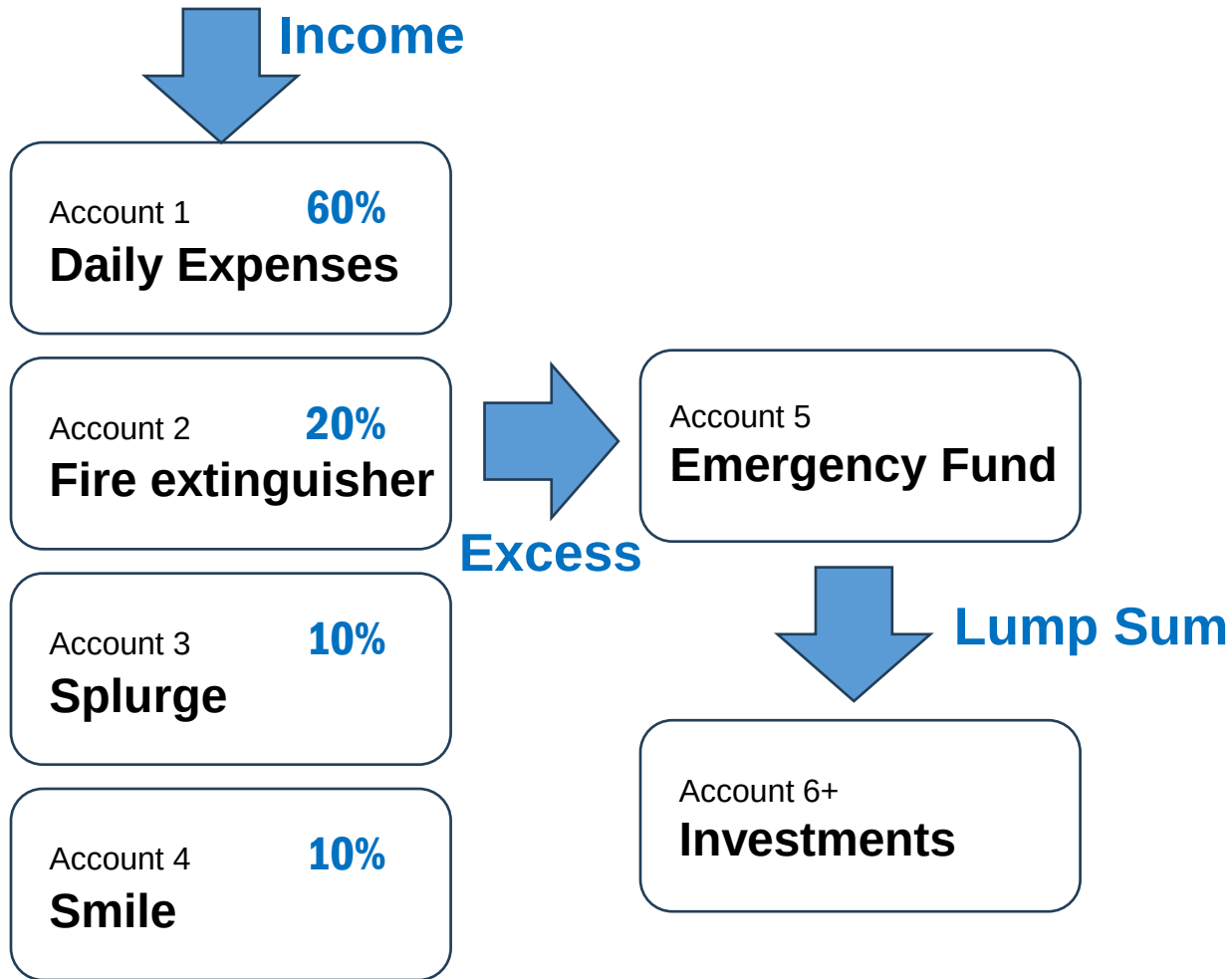
# Three Account System Visualised



# The Barefoot Investor System

1. **Daily Expenses (60%)** Regular living expenses (rent, utilities, bills and groceries)
2. **Fire Extinguisher (20%)** Pay down debts or big non-regular bills (repairs or maintenance)  
Overflow is paid to Mojo.
3. **Splurge (10%)** Used to pay fun purchases and social activities
4. **Smile (10%)** Long-term savings for next holiday, new computer or updating your car
5. **Mojo Emergency funds.** Minimum \$2,000 but preferably 6 months of living expenses  
Overflow is paid to Grow
6. **Grow** Funds for long-term investment

# The Barefoot Investor System Visualised



# **Some banks make this easy**

**High bonus interest rates if you satisfy their criteria**

**Allow you to set up and name multiple savings accounts**

**Government guarantee on balances up to \$250,000 with one bank**

**The following are examples and not recommendations:**

**ANZ Plus**

**ING Direct**

**UBank**

**Up Bank**



# **Summary: Bank Accounts**

**Transaction Accounts are used to buy things and pay bills**

**Savings Accounts pay you interest**

**You can save transaction fees by inserting your card rather than tapping**

**Paying with notes and coins can be better than paying electronically**

**Keep an adequate cash buffer in your transaction account**

**Try to build up 6 months of living expenses in an Emergency Fund**

**Using a system of accounts can help you manage your money**

# **Good Debt and Bad Debt**

**Do you know anyone with debt problems?**

# **What do I mean by debt?**

**Debt is a short-term or long-term loan from a bank or some other source**

**Credit Cards**

**Buy Now Pay Later**

**Student Loans (HECS)**

**Car Loan**

**Home Loan**

**Investment Loan**

**Bank of Mum and Dad Loan**

# When is Debt Good?

## 1. When it is used to buy a quality home in a good location

Long-term control over living expenses

... assuming that the value of the home increases over the long-term

## 2. When it is used for investing in shares or property over the long-term

... assuming that the return on the investment exceeds the interest rate over the long-term

## 3. When it is necessary to generate future income

Student Loan (HECS) may be needed to fund a degree to earn future income

Car Loan\* may be necessary to buy a car ... to get to work ... to earn income

\* It is better to anticipate this need and save up for the car in advance. However, not everyone can do this if earning an income requires a car.

# Ursa and Liam both have \$10,000 to invest

Ursa

|                    |          |
|--------------------|----------|
| Initial Investment | \$10,000 |
|--------------------|----------|

Liam

|                    |          |
|--------------------|----------|
| Initial Investment | \$10,000 |
|--------------------|----------|

# Ursa and Liam both have \$10,000 to invest

Ursa

|                    |            |
|--------------------|------------|
| Initial Investment | \$10,000   |
| Investment Return  | 10%        |
| After 1 year       | \$11,000   |
| Initial Investment | – \$10,000 |
| Profit (\$)        | \$1,000    |
| Profit (%)         | 10%        |

Liam

|                    |          |
|--------------------|----------|
| Initial Investment | \$10,000 |
|--------------------|----------|

# Ursa and Liam both have \$10,000 to invest

## Ursa

|                    |                |
|--------------------|----------------|
| Initial Investment | \$10,000       |
| Investment Return  | 10%            |
| After 1 year       | \$11,000       |
| Initial Investment | – \$10,000     |
| Profit (\$)        | <b>\$1,000</b> |
| Profit (%)         | <b>10%</b>     |

## Liam

|                    |                |
|--------------------|----------------|
| Initial Investment | \$10,000       |
| Investment Loan    | \$90,000       |
| Total Investment   | \$100,000      |
| Investment Return  | 10%            |
| After 1 year       | \$110,000      |
| Pay Interest       | – \$5,000      |
| Repay Loan         | – \$90,000     |
| Initial Investment | – \$10,000     |
| Profit (\$)        | <b>\$5,000</b> |
| Profit (%)         | <b>50%</b>     |

**Borrowing to invest  
turns Good Investments  
into Great Investments\***

\* We will see in Units 5 and 10 that it does so with greater risk so this is only appropriate for long-term high-quality investments



# **Debt Rule of Thumb**

**Only borrow money to buy things that are expected to increase in value**

# **Should I borrow from Parents?**

**This is sometimes called borrowing from the 'Bank of Mum and Dad'**

**House prices are very very expensive in Sydney**

**Loans from parents can really help with buying your first home**

**... especially if the interest rate is low (or zero).**

**There can be some strings attached in some cases so be careful.\***

\* When someone owes you money it can change the way you relate to that person. Parents can sometimes use debt to 'control' adult children.

# When is Debt Bad?

When it is used to fund expenses or pay bills

... buy assets that are expected to decrease in value (especially cars)

... or make up for a lack of savings

**Credit Card**

**Buy Now Pay Later**

**Car Loans** (except when it is absolutely necessary to earn an income)

**Borrowing money from friends**

**Borrowing money to speculate\***

\* 'Speculate' is just a fancy term for 'gambling' or 'trading' on short-term price movements of shares, foreign exchange, cryptocurrency etc.

# Buying using Credit creates a cycle ...

Credit Cards or Buy Now Pay Later



# **Reasons why people get into credit card debt**

or Buy Now Pay Later debt

- 1. Impulsive behaviour**
- 2. Bad habits**
- 3. High fixed and variable expenses relative to income**
- 4. Poor planning (no budget)**
- 5. Lack of personal discipline to stick to a budget**
- 6. Addicted to Loyalty Point Schemes**
- 7. Bad luck ... bad stuff happens despite good planning!**

# **Signs you have a problem with credit card debt**

or Buy Now Pay Later debt

- 1. You couldn't pay full balance for 2 months in a row**
- 2. You juggle purchases between 2 or more cards**
- 3. You have already wondered "do I have a problem?"**
- 4. Your family/friends have asked if you have a problem**
- 5. Your credit card solves the "I don't have enough money" problem**
- 6. Your credit limit feels like "One of my bank accounts"**
- 7. You regularly worry about your credit card debt**

# Steps to get out of credit card debt

or Buy Now Pay Later debt

- 1. Acknowledge that you have a problem**
- 2. Seek counselling from UNSW Counselling**  
Identify any underlying psychological issues otherwise it will re-occur
- 3. Seek help from the free National Debt Helpline [ndh.org.au](https://ndh.org.au)**  
They have free Financial Counsellors who can help
- 4. Talk to your bank about consolidating debt**  
Stop any new transactions  
Consolidate credit card debt into personal loan with fixed repayments
- 5. Start tracking expenses**  
This will help you to identify areas in which you can cut costs, cut back or cut out
- 6. Start saving at least 10% of income to pay down bad debt**

# **Summary: Good Debt and Bad Debt**

**Debt is any short or long-term loan from a bank or other source**

**Debt is good if used to buy a home, invest and/or generate future income**

Try to only borrow money to buy things that increase in value!

A loan from parents can help with the problem of high house prices.

**Debt is bad when it is used to pay for expenses or things that fall in value**

Try to avoid borrowing money to buy a car

Watch out for debt slavery by using credit cards or Buy Now Pay Later

**If you (or a friend) has a problem with debt**

**please get in contact with the free National Debt Helpline [ndh.org.au](https://ndh.org.au)**



# **Tips for Uni Students**

# **Avoid buying food on campus**

**It really is a waste of money.**

**Learn how to make a gourmet sandwich at home and bring it with you.**

**Bring in some left-over dinner and heat it in a 'Microwave Space'**

UNSW provides microwaves for students to use at various locations

<https://www.arc.unsw.edu.au/help/microwave-spaces>

# **Level up your cooking skills**

**Dinner tastes much better when you put more effort into it!**

**Learning how to cook is an important life skill**

**... and also makes you appreciate it more when you dine out.**

**It can also be a great study break and can reduce stress!**

**Share cooking responsibilities with flatmates (or neighbours).**

**Bulk cook on weekends and freeze portions.**

# **Avoid buying coffee on campus**

**Focus on going to bed earlier and try to get 8 hours of sleep.**

**Drink one cup of coffee at home in the morning.**

**Drink plenty of water during the day.**

# **Track your Expenses**

**This will make you more accountable with your spending.**

**It can also identify areas where you can cut costs, cut back or cut out.**

# Organise social events

**Social activities with friends can be expensive ... especially dining out**

**Become the leader in arranging 'low-cost social outings'**

- 1. Picnic at Coogee Beach**
- 2. Walk or jog around Centennial Park**
- 3. Visit a historic house** (such as Vaucluse House)
- 4. Live music at bars** (only buy one drink)
- 5. Museums and Art Galleries**
- 6. Market Stalls** (such as The Rocks)

**... and I'm sure you can come up with better ideas!**

# **Live with Parents for as Long as Possible\***

**Rent and living expenses are very high in Sydney.**

**Only move out if you absolutely need to do so for work or study**

**... or you are getting married**

\* I acknowledge that not everyone can do this due to difficult family situations.

# **Avoid living by yourself**

**It may be difficult to find a good flatmate**

**... but sharing expenses between two people makes a big difference.**

**It is also good to practice being unselfishness**

**... for getting married later.**



# **Avoid buying a car for as long as possible**

**Cars go down in value (depreciation) and are expensive to run**

**Use public transport (if possible) and use the travel time to read**

# **Avoid expensive addictions**

**Alcohol**

**Gambling**

**Drugs**

# **Student Loans are Good** for domestic students

**The HECS loan system for domestic students is very generous.**

**The interest rate is set to inflation (CPI).**

**There are now no discounts for paying it off early.**

**If you have the option to pay it off**

**... it is probably better to invest those funds instead.**

# **When you get a full-time job ...**

**You will start receiving a full-time income.**

**You will suddenly feel very rich**

**... and will likely start spending too much.**

**Most students have adapted to a low income.**

**You are used to being frugal (careful with spending).**

**For 2 years after you start earning a full-time income keep saying,**

**“I am still a poor student and cannot afford ...”**

# **Summary: Tips for Students**

**Avoid buying food on campus**

**Level up your cooking skills**

**Avoid buying coffee on campus**

**Track your expenses**

**Organise low-cost social events**

**Live with parents for as long as possible**

**Avoid living by yourself**

**Avoid buying a car for as long as possible**

**Avoid expensive addictions**

**Pay off student loans as slowly as possible**

**Keep living like a student when you get a full-time job**

# Break

# **Discussion**

**What kinds of things is it easy to spend  
way too much money on as a student?**

**Think individually**

**... then share with the person next to you.**

# **Three Financial Statements**



# Have you ever visited a large dam?



Warragamba Dam (west of Sydney) is Australia's largest urban water supply dam



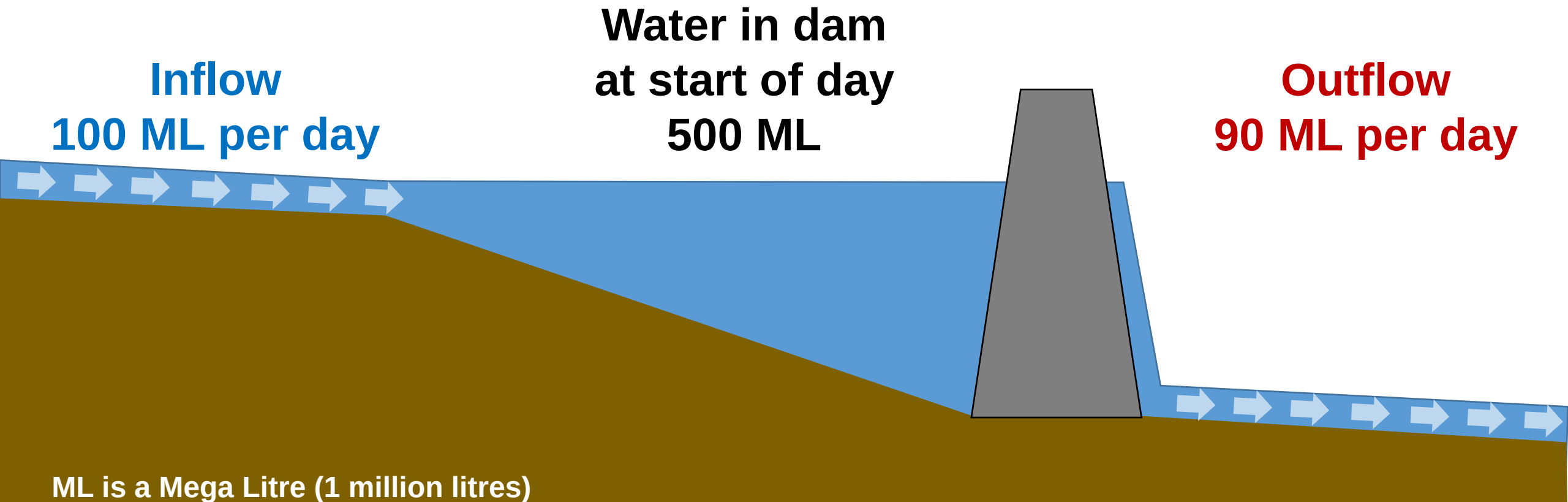
# Have you ever visited a large dam?



**Largest  
Hydroelectric Dam  
in the world**

Three Gorges Dam (三峡大坝 Sānxiá dà bà) on Yangtze River (长江 Cháng Jiāng) west of city of Yichang in Hubei province, China.

# How much water is in the dam at end of the day?



# Three Financial Statements

1. **Balance Sheet** tells you your wealth at a point in time  
Important for tracking long-term wealth creation
2. **Income Statement** tells you why your wealth changes over a period of time  
Important for short-term control of expenses (and understanding why your wealth is changing)
3. **Cash Flow Statement** tells you how your cash changed over a period of time  
Important for obtaining loans and making sure you can pay your bills on time

**All three financial statements are linked**

**They are important for households, banks, organisations and government**

**Understanding them is an element of Financial Intelligence**

\* The term 'cash' means any funds that are readily available to pay your financial obligations. It includes any currency, transaction accounts and at-call savings accounts. An 'at-call savings account' is one in which the funds can be transferred to a transaction account within 24 hours.

# 1. Balance Sheet ... is quantity of water in dam

## Balance Sheet

|               |       |
|---------------|-------|
| Assets        | 1,000 |
| – Liabilities | – 500 |
| <hr/>         |       |
| Wealth*       | 500   |

Tells story of what is owned (assets) less what is owed (liabilities) and financial position (wealth) at a point in time

Quantity of water in the dam

Important for tracking long-term wealth creation

\* 'Wealth' is also called 'Net Worth', 'Net Assets' or simply 'Equity'

## 2. Income Statement\* ... is the flow of water

### Balance Sheet

Assets 1,000

– Liabilities – 500

**Important for short-term control of expenses**

**... and for understanding why your wealth is changing**

Tells story of what is owned (assets) less what is owed (liabilities) and financial position (wealth) Quantity of water in the dam

### Income Statement

Income 100

– Expenses – 90

Profit\*\* 10

Tells story of income, expenses and the corresponding profit over a period of time

**Flow of water into and out of the dam**

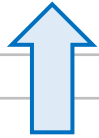
\* An 'Income Statement' is also called a 'Profit and Loss Statement'.

\*\* A Profit (or Loss if negative) can also be called a 'Surplus' (or Deficit if negative) or simply the 'Amount Saved' over the period.

# They are Linked

## Balance Sheet

|               |      |
|---------------|------|
| Assets        | + 10 |
| – Liabilities |      |
| <hr/>         |      |
| Wealth        | + 10 |



## Income Statement

|            |      |
|------------|------|
| Income     | 100  |
| – Expenses | – 90 |
| <hr/>      |      |
| Profit     | + 10 |

Balance sheet captures  
the flow of income  
and expenses

The amount of water  
in the dam is affected  
by water flowing into  
and out of the dam



# Profit flows through to Wealth

## Income Statement

|            |      |
|------------|------|
| Income     | 100  |
| – Expenses | – 90 |
| <hr/>      |      |
| Profit     | + 10 |



## Balance Sheet

|               |      |
|---------------|------|
| Assets        | + 10 |
| – Liabilities |      |
| <hr/>         |      |
| Wealth        | + 10 |

Wealth is the cumulative sum of all past profits

**Income**  
**\$100 per day**

**Wealth**  
**\$500 +10**

**Expenses**  
**\$90 per day**





# Principle 1: Long-term Wealth Creation

If you want to have a lot of water in your dam in the long-term ...

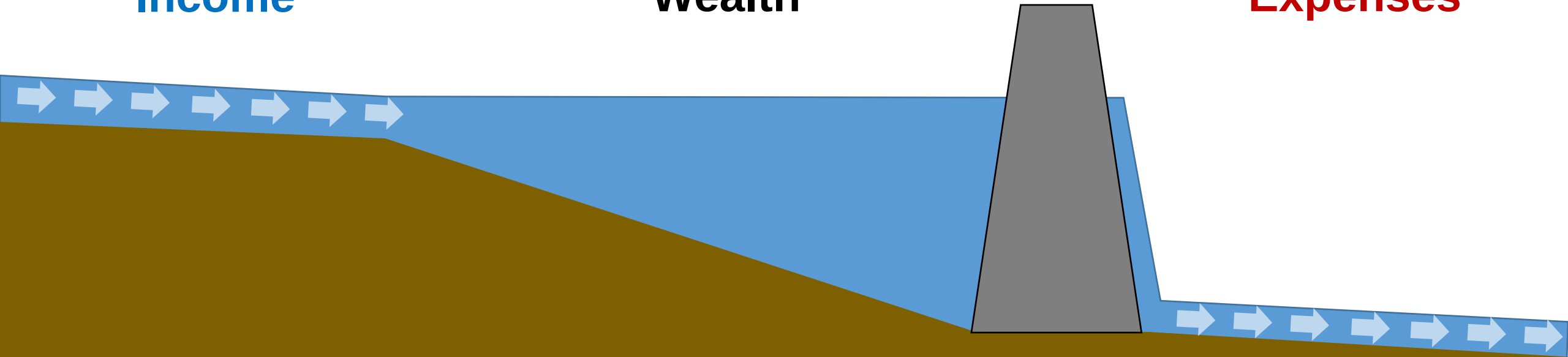
... more water must flow in than out

... each month over many years.

**Income**

**Wealth**

**Expenses**



# Cash

## What is 'Cash'?

现金

xiàn jīn

## What does 'Cash is King' mean?

现金为王

xiàn jīn wéi wáng

# Cash

## What is 'Cash'?

**Cash = Currency + Transaction accounts + Savings accounts (at-call)**

## What does 'Cash is King' mean?

**You are 'king' or 'queen' of your own kingdom**

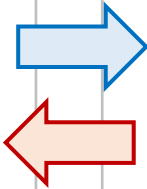
**if you have enough cash to easily pay for all your bills**

**... otherwise you may lose your sovereignty to parents or the bank!**

# 3. Cash Flow Statement

## Balance Sheet

|               |       |
|---------------|-------|
| Assets        | 1,000 |
| – Liabilities | – 500 |
| <hr/>         |       |
| Wealth*       | 500   |



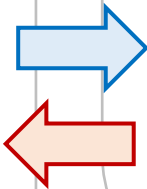
## Cash Flow Statement

|            |      |
|------------|------|
| Cash In    | + 90 |
| – Cash Out | – 88 |
| <hr/>      |      |
| Cash Flow  | + 2  |

**Tells you how your cash\* changed over a period of time**

## Income Statement

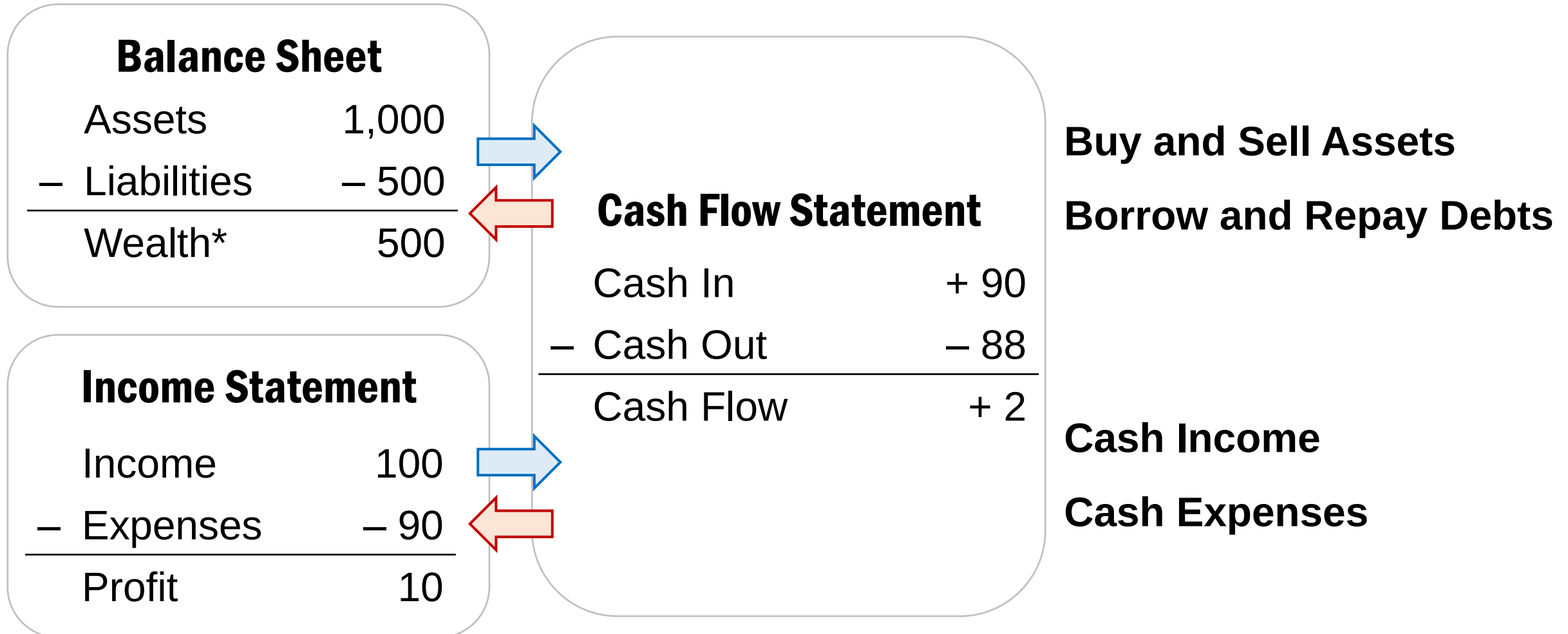
|            |      |
|------------|------|
| Income     | 100  |
| – Expenses | – 90 |
| <hr/>      |      |
| Profit     | 10   |



**Important for applying for loans  
... and making sure you can pay bills on time**

\* The term 'cash' means any funds that are readily available to pay your financial obligations. It includes any currency, transaction accounts and at-call savings accounts. An 'at-call savings account' is one in which the funds can be transferred to a transaction account within 24 hours.

### 3. Cash Flow is determined by the other two



\* The term 'cash' means any funds that are readily available to pay your financial obligations. It includes any currency, transaction accounts and at-call savings accounts. An 'at-call savings account' is one in which the funds can be transferred to a transaction account within 24 hours.

# Cash flow is different from income and expenses

Borrowing money is a cash inflow but not income

Paying off the principal of a loan is a cash outflow but not an expense

Buying a vehicle is a cash outflow but not an expense

A decrease in value of a vehicle is an expense\* but not a cash flow

Selling a vehicle is a cash inflow but not income

... but earning a wage or salary is income and a cash inflow

... and buying most small things is normally an expense and a cash outflow

- When a vehicle decreases in value over a period of time then the change in value is called 'depreciation'. Depreciation is an expense and is recorded on an income statement. The value of the vehicle is recorded on the balance sheet.

# Cash Flow is like counting fish in your dam

**Sources of cash**  
**\$90 per day**

**Cash at start of day**    **\$8**

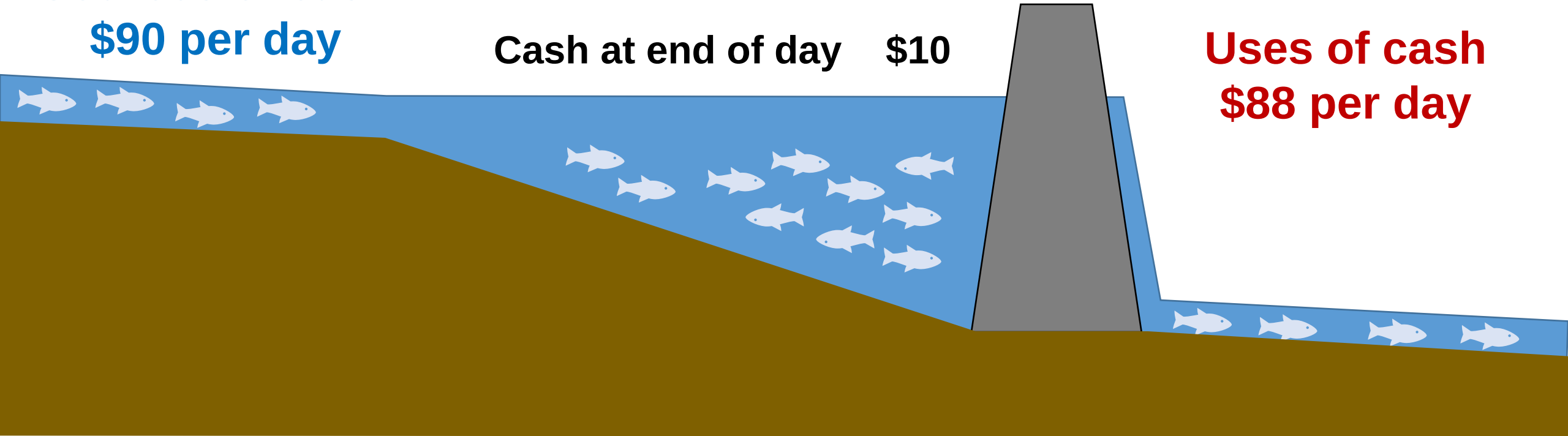
**Cash Flow**    **+ \$2**

**Cash at end of day**    **\$10**

## Cash Flow Statement

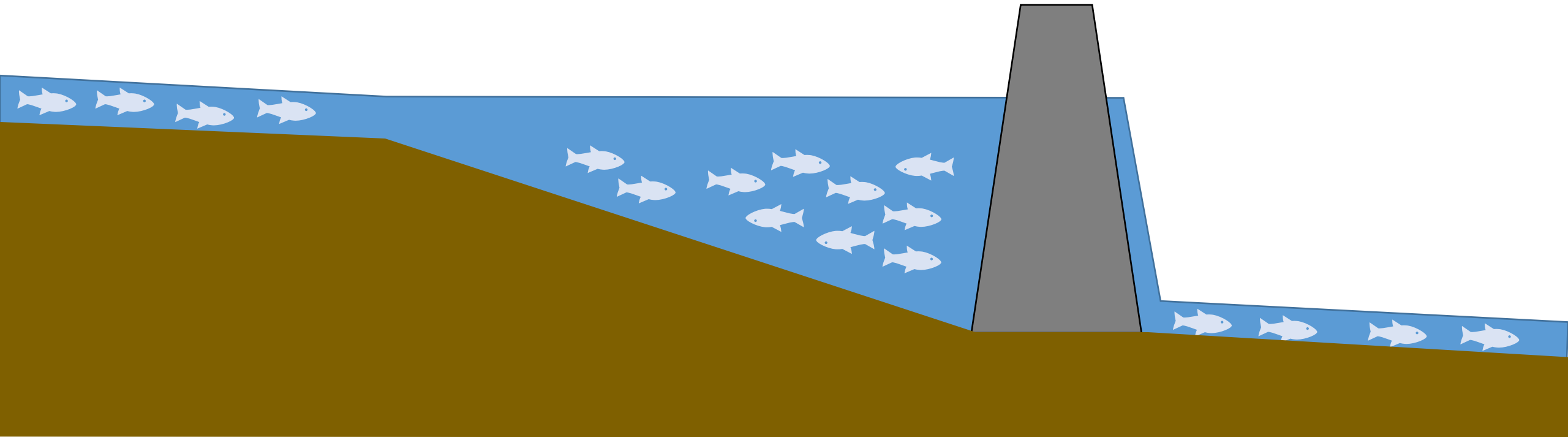
|            |      |
|------------|------|
| Cash In    | + 90 |
| – Cash Out | – 88 |
| Cash Flow  | + 2  |

**Uses of cash**  
**\$88 per day**



# Principle 2: Cash Flow

If you want to eat, make sure you have enough fish in your dam

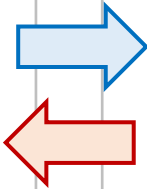




# Summary: Three Financial Statements

## Balance Sheet

|               |       |
|---------------|-------|
| Assets        | 1,000 |
| – Liabilities | – 500 |
| <hr/>         |       |
| Wealth*       | 500   |

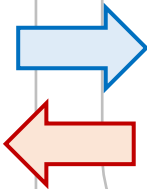


## Cash Flow Statement

|                 |      |
|-----------------|------|
| Cash sources    | + 90 |
| – Cash uses     | – 88 |
| <hr/>           |      |
| Change in Cash* | + 2  |

## Income Statement

|            |      |
|------------|------|
| Income     | 100  |
| – Expenses | – 90 |
| <hr/>      |      |
| Profit     | 10   |



# Summary: Three Financial Statements

1. **Balance Sheet** tells you your wealth at a point in time  
Important for tracking long-term wealth creation
2. **Income Statement** tells you why your wealth changes over a period of time  
Important for short-term control of expenses (and understanding why your wealth is changing)
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**All three financial statements are linked**

**They are important for households, banks, organisations and government**

**Understanding them is an element of Financial Intelligence**

\* The term 'cash' means any funds that are readily available to pay your financial obligations. It includes any currency, transaction accounts and at-call savings accounts. An 'at-call savings account' is one in which the funds can be transferred to a transaction account within 24 hours.

## **Financial Statements**

# **1. Balance Sheet**

# 1. Balance Sheet ... is quantity of water in dam

## Balance Sheet

|               |       |
|---------------|-------|
| Assets        | 1,000 |
| – Liabilities | – 500 |
| <hr/>         |       |
| Wealth*       | 500   |

Tells story of what is owned (assets) **Quantity of**  
less what is owed (liabilities) **water in the**  
and financial position (wealth) **dam**  
at a point in time

**Important for tracking long-term wealth creation**

\* 'Wealth' is also called 'Net Worth', 'Net Assets' or simply 'Equity'

# Profit flows through to Wealth

## Income Statement

|            |      |
|------------|------|
| Income     | 100  |
| – Expenses | – 90 |
| <hr/>      |      |
| Profit     | + 10 |



## Balance Sheet

|               |      |
|---------------|------|
| Assets        | + 10 |
| – Liabilities |      |
| <hr/>         |      |
| Wealth        | + 10 |

Wealth is the cumulative sum of all past profits

**Income**  
**\$100 per day**

**Wealth**  
**\$500 +10**

**Expenses**  
**\$90 per day**



# Asset Examples

Something you own that provides a future benefit

**Transaction Account** used to buy things using a debit card (no interest)

**Savings Account** used for short-term low risk savings (moderate interest)

**Share Investments** used for long-term savings (higher return with uncertainty)

**Superannuation** used for long-term financial independence (retirement savings)

**Vehicle** used to get you to and from public transport, work or study (a necessary evil)

**Home Contents** including furniture, clothes, computers ...

**Property** used to protect your cost of living in the long-run and create wealth

**University Degree** used to (hopefully) improve your future income and employment

# Liability Examples

Something owed to others that must be repaid in the future

**Buy Now Pay Later** allowing you to buy now and pay in instalments (Afterpay)

**Credit Card** allowing you to buy now and pay at the end of the month (Visa)

**Student Loan** allowing you to do your degree and pay for it later (HECS)

**Personal Loan** allowing you to buy something now and pay for it later (bad idea)

**Vehicle Loan** allowing you to buy a vehicle now and pay for it later

**Property Loan** allowing you to buy a property now and pay for it later

**Investment Loan** allowing you to buy investments now and pay for them later

# **University Degree**

**Your university degree is very expensive.**

**It should hopefully increase your future income and employability.**

**As such, it can be seen as an 'intangible asset'.**

**Asset value is the sum of all course fees paid to date.**

**Any loans from government (HECS) or family are liabilities (Student Loan).**



# Balance Sheet

Measured at point in time

Round to nearest dollar

... or ten dollars is also okay

Best treat all your course fees  
as an asset (Uni degree)  
and any student loans  
as a liability (HECS)

|                     | Now                                   |                                                                                                       |
|---------------------|---------------------------------------|-------------------------------------------------------------------------------------------------------|
| <b>ASSETS</b>       | <b>*1,000,000</b>                     |                                                                                                       |
| Bank Accounts       | 40,000                                | <br>Total upwards  |
| Share Investments   | 20,000                                |                                                                                                       |
| Superannuation      | 50,000                                |                                                                                                       |
| University Degree   | 50,000                                |                                                                                                       |
| Home Contents       | 20,000                                |                                                                                                       |
| Vehicle             | 20,000                                |                                                                                                       |
| Property            | 800,000                               |                                                                                                       |
| <b>LIABILITIES</b>  | <b>700,000</b>                        |                                                                                                       |
| Student Loan (HECS) | 50,000                                | <br>Total upwards |
| Vehicle Loan        | 20,000                                |                                                                                                       |
| Property Loan       | 630,000                               |                                                                                                       |
| <b>WEALTH</b>       | <b>Assets – Liabilities = 300,000</b> |                                                                                                       |

# It is called a ‘Balance Sheet’ because ...

the two sides ... must balance\*

| ASSETS            | 1,000,000 | LIABILITIES + WEALTH | 1,000,000      |
|-------------------|-----------|----------------------|----------------|
| Bank Accounts     | 40,000    |                      |                |
| Share Investments | 20,000    | <b>LIABILITIES</b>   | <b>700,000</b> |
| Superannuation    | 50,000    | Student Loan (HECS)  | 50,000         |
| University Degree | 50,000    | Vehicle Loan         | 20,000         |
| Home Contents     | 20,000    | Property Loan        | 630,000        |
| Vehicle           | 20,000    |                      |                |
| Property          | 800,000   | <b>WEALTH**</b>      | <b>300,000</b> |

Total upwards

\* The two sides will always balance since  $Wealth = Assets - Liabilities$ . It follows that  $Assets = Liabilities + Wealth$ .

\*\* Wealth can also be called ‘Net Assets’ (since it is  $Assets - Liabilities$ ), ‘Net Worth’ or ‘Equity’

# Students

Most students studying this course do not have a lot of assets or liabilities.

Main asset may be your university degree.

Make sure you finish!

|                     | Now                                  |                                                                                                       |
|---------------------|--------------------------------------|-------------------------------------------------------------------------------------------------------|
| <b>ASSETS</b>       | <b>40,000</b>                        |                                                                                                       |
| Bank Accounts       | 5,000                                | <br>Total upwards  |
| Share Investments   | -                                    |                                                                                                       |
| Superannuation      | -                                    |                                                                                                       |
| University Degree   | 30,000                               |                                                                                                       |
| Home Contents       | 5,000                                |                                                                                                       |
| Vehicle             | -                                    |                                                                                                       |
| Property            | -                                    |                                                                                                       |
| <b>LIABILITIES</b>  | <b>30,000</b>                        |                                                                                                       |
| Student Loan (HECS) | 30,000                               | <br>Total upwards |
| Vehicle Loan        | -                                    |                                                                                                       |
| Property Loan       | -                                    |                                                                                                       |
| <b>WEALTH</b>       | <b>Assets – Liabilities = 10,000</b> |                                                                                                       |

# Comparisons

Balance Sheets are a bit more interesting when compared against another point in time

Change in wealth will be our profit\* over this period

\* Profit may include non-cash income and expenses such as decrease in value of vehicle (depreciation expense) and gains in the market value of investments (at fair value).

|                     | Now              | 1 year ago     | Change         |
|---------------------|------------------|----------------|----------------|
| <b>ASSETS</b>       | <b>1,000,000</b> | <b>997,000</b> | <b>+3,000</b>  |
| Bank Accounts       | 40,000           | 38,000         | +2,000         |
| Share Investments   | 20,000           | 18,000         | +2,000         |
| Superannuation      | 50,000           | 49,000         | +1,000         |
| University Degree   | 50,000           | 50,000         | 0              |
| Home Contents       | 20,000           | 20,000         | 0              |
| Vehicle             | 20,000           | 22,000         | -2,000         |
| Property            | 800,000          | 800,000        | 0              |
| <b>LIABILITIES</b>  | <b>700,000</b>   | <b>707,000</b> | <b>-7,000</b>  |
| Student Loan (HECS) | 50,000           | 50,000         | 0              |
| Vehicle Loan        | 20,000           | 21,000         | -1,000         |
| Property Loan       | 630,000          | 636,000        | -6,000         |
| <b>WEALTH</b>       | <b>300,000</b>   | <b>290,000</b> | <b>+10,000</b> |

# Fair value or historic cost?

With your own personal balance sheet you have a choice:

**1. Record value of asset at original cost (historic cost accounting)**

... usually less accumulated depreciation\* if it is a motor vehicle or other physical asset

When you record it at original cost less total depreciation it is called 'book value'

**2. Record value of asset at current market value (fair value accounting)**

... this is a rough estimate of how much you could sell the asset for today

**It is your choice ... but following are my suggestions!**

\* We will cover depreciation a little later in this section.

# **Property Valuation**

**Record the value of a property at 'historic cost' rather than 'market value'**

**This is the original purchase price**

**+ any significant improvements (renovations)**

**This means that change in wealth on your balance sheet is only from  
earning income, keeping expenses under control and investment returns  
... rather than 'lazy' property price increases  
... or (hopefully) short-term property price decreases.**

# **Vehicles decrease in value over time**

**As a 'rule of thumb', they tend to halve in value every 3.5 years\***

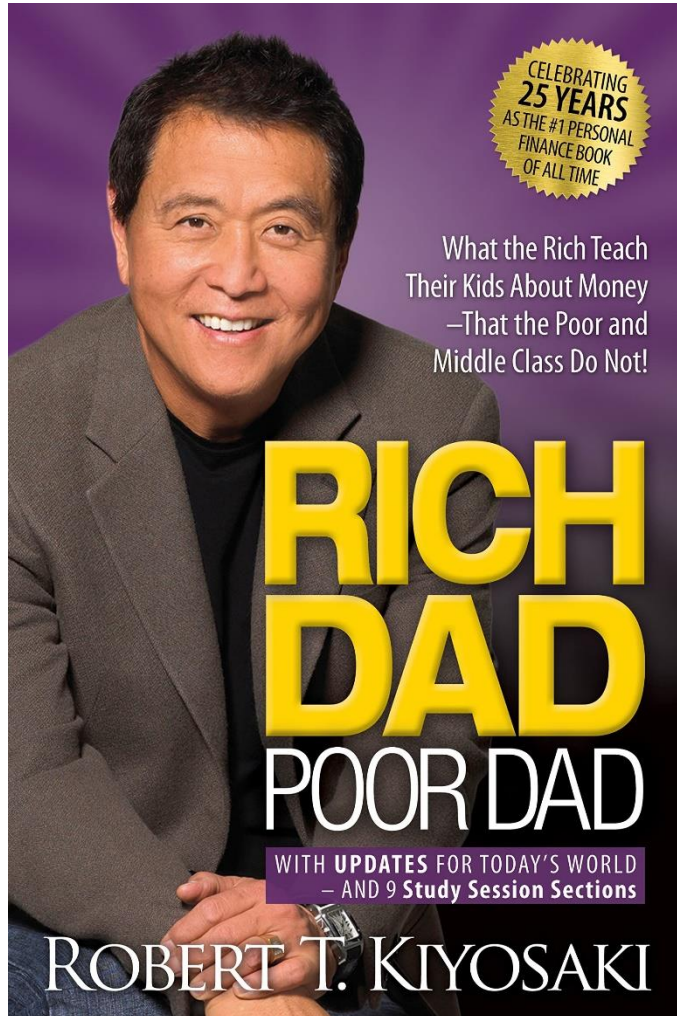
**The amount it decreases in value each period is called 'depreciation'**

**Depreciation is a non-cash expense from owning a vehicle**

**Depreciation is an expensive 'invisible' expense that most people miss**

\* Carsales.com.au is useful for estimating depreciation based on specific models based on past model years.

# Is a Vehicle an Asset or a Liability?



Robert Kiyosaki argues that a vehicle costs a lot each year, decreases in value and destroys your wealth ...

... so you should think of it as a 'Liability' rather than an 'Asset'.

I like his book and his thinking ...

... but we will treat vehicles as an **Asset**.



# Depreciation

Vehicles, computers and many other things decrease in value over time

Decrease in value is an expense called 'depreciation'

Depreciation is not a cash flow

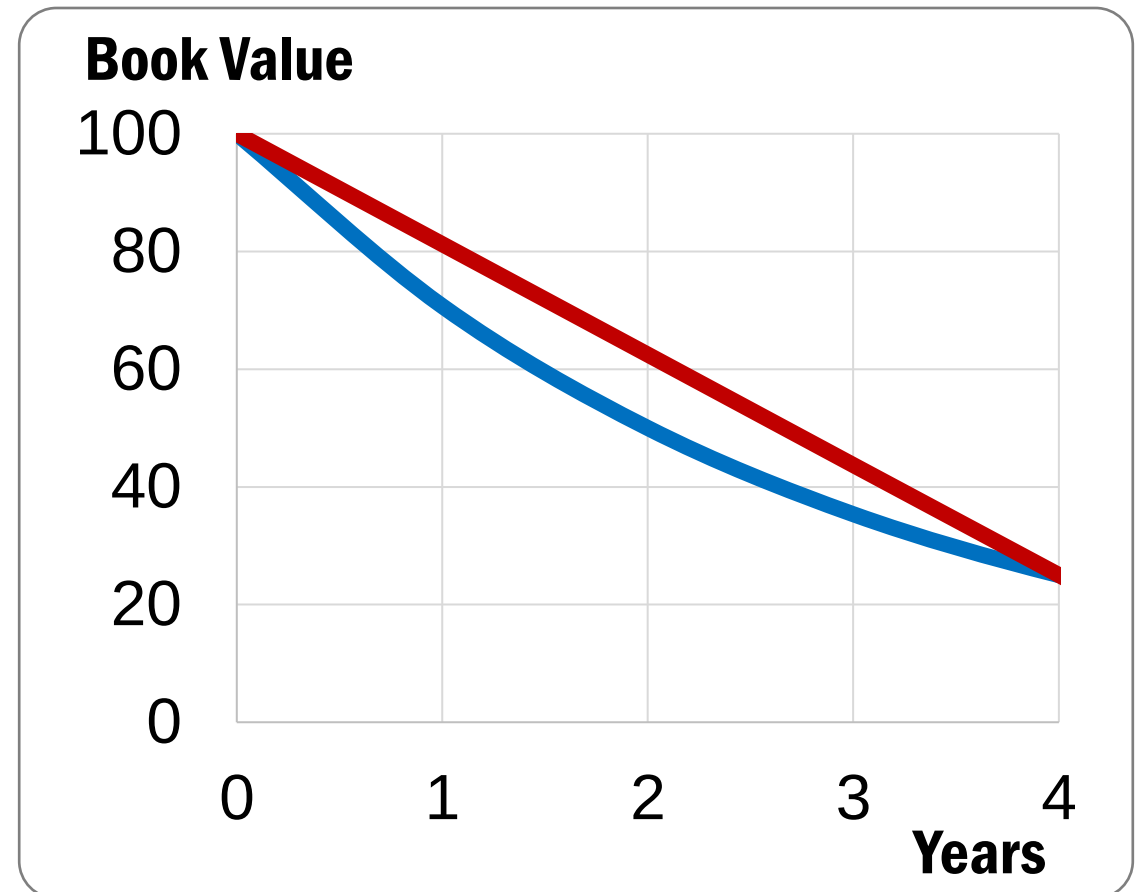
Two methods:

1. **Diminishing value method (curve)**

Decreases by fixed percentage each year based on value at end of last period

2. **Prime cost method (straight-line)**

Decreases by fixed dollar amount each year



# Depreciation Example

**You buy a new car for \$40,000**

**You expect to keep it for 6 years**

**Your rough estimate of its value in 6 years is \$10,000**

**How much is the depreciation per year using the Prime Cost Method?**  
(Straight-line)

# Depreciation Example

You buy a new car for \$40,000

You expect to keep it for 6 years

Your rough estimate of its value in 6 years is \$10,000

How much is the depreciation per year using the **Prime Cost Method?**  
(Straight-line)

$$\begin{aligned}\text{Depreciation} &= \frac{\text{Asset Cost} - \text{Salvage Value}}{\text{Effective Life}} \\ &= \frac{\$40,000 - \$10,000}{6 \text{ years}} \\ &= \$5,000 \text{ per year}\end{aligned}$$

**This \$5,000 is an expense and should be recorded on your income statement**

# Share investments go up and down

Share investments can increase or decrease in value in any period

You have a few options:

**1. Record the value at current market value (fair value accounting)**

Your balance sheet will reflect the current value of your investments

Changes in wealth (and implied profit) will have greater volatility

**2. Record the value at original cost (historic cost accounting)**

Your balance sheet will reflect the original funds that you invested

Changes in wealth (and implied profit) will be less volatile

**I would suggest recording shares at original cost ... but it is up to you!**

# Financial Plan

One task for this week

Balance Sheet now\*

Balance Sheet 1 year ago\*

Change in position

A few comments on changes

Privacy and confidentiality

\* International Students please convert to Australian Dollars at the current exchange rate

|                     | Now | 1 year ago | Change |
|---------------------|-----|------------|--------|
| <b>ASSETS</b>       |     |            |        |
| Bank Accounts       |     |            |        |
| Share Investments   |     |            |        |
| Superannuation      |     |            |        |
| University Degree   |     |            |        |
| Home Contents       |     |            |        |
| Vehicle             |     |            |        |
| Property            |     |            |        |
| <b>LIABILITIES</b>  |     |            |        |
| Student Loan (HECS) |     |            |        |
| Vehicle Loan        |     |            |        |
| Property Loan       |     |            |        |
| <b>WEALTH</b>       |     |            |        |

# **Summary: Balance Sheet**

**Assets – Liabilities = Wealth**

**Wealth is also called ‘Net Worth’, ‘Net Assets’ or simply ‘Equity’**

**Balance sheets are measures at a point in time**

**They are useful for tracking long-term wealth creation**

**You need to consider how you value properties, vehicles and investments**

**Depreciation is an expense and measures the fall in value of vehicles**

**Comparisons can be made over time and by calculating ratios**

**Debt Ratio is your percentage of debt. Equity ratio is your percentage.**

## **Financial Statements**

# **2. Income Statement**

# Income Statement\* ... is the flow of water

## Income Statement

|            |      |
|------------|------|
| Income     | 100  |
| – Expenses | – 90 |
| <hr/>      |      |
| Profit**   | 10   |

**Tells story of income,  
expenses and the  
corresponding profit  
over a period of time**

**Flow of water  
into and out  
of the dam**

**Important for short-term control of expenses  
... and for understanding why your wealth is changing**

\* An 'Income Statement' is also called a 'Profit & Loss Statement'.

\*\* A Profit (or Loss if negative) can also be called a 'Surplus' (or Deficit if negative) or simply the 'Amount Saved' over the period.



# Profit flows through to Wealth

## Income Statement

|            |      |
|------------|------|
| Income     | 100  |
| – Expenses | – 90 |
| <hr/>      |      |
| Profit     | + 10 |



## Balance Sheet

|               |      |
|---------------|------|
| Assets        | + 10 |
| – Liabilities |      |
| <hr/>         |      |
| Wealth        | + 10 |

Wealth is the cumulative sum of all past profits

**Income**  
**\$100 per day**

**Wealth**  
**\$500 +10**

**Expenses**  
**\$90 per day**



# Income examples

## Benefits received from work, investment, family or others

... that do not need to be repaid!

**Personal income** Wages and salaries associated from your work (human capital)

**Investment income** Interest, rent, dividends or distributions from your investments (financial capital)

**Investment gains** Profit from selling investments or assets at a gain

Losses from selling investments can be treated as a 'negative' investment gain

## Financial support that does not need to be repaid

Family support, Scholarships, Social Security (Austudy, Jobseeker ...)

# Cash inflow might NOT be Income

## **Selling a physical asset** (car, clothes or furniture)

The amount received is a cash inflow

If the amount is less than its value on your balance sheet, the difference is an expense

If the amount is more than the value on your balance sheet, the difference is income

## **Borrowing money** (student loans, car loans, credit cards, home loans)

The amount received is a cash inflow (and is not income)

If the money doesn't need to be repaid (family loan), it is a 'gift' which is a form of income

# Expense examples

Costs incurred as you work, study, invest and live your life

**Housing and Utilities** Rent, interest on home loan, electricity, water, rates, internet, maintenance ...

**Food and Drink** Fresh food and groceries, takeaway, coffee or tea, alcohol ...

**Work and Study** Student fees, textbooks, computers, mobile phone ...

**Transport** Train and buses, rideshares, car (petrol, insurance, maintenance ...)

**Financial and Insurance** Fees, interest on loans, life insurance ...

**Leisure** Dining out with friends, gifts, entertainment, holidays, subscriptions, hobbies and interests ...

**Health** Medical expenses, health insurance, fitness ...

**Clothing** Work, leisure, sport ...

Miscellaneous other ...

# Cash outflow might NOT be an expense

## University course fees

In this course we consider your course fees and degree to be an asset  
... since it (hopefully) increases your ability to earn an income in the future

## Repayments of the principal of a loan

Loan payments are normally part principal repayment and part interest expense

The entire loan payment each period is a cash outflow

The interest component is an expense and a cash outflow

The principal repayment is a cash outflow but is not an expense

## Credit card or buy-now-pay-later payments

When you first buy the item it is an expense but there is no net cash flow

The cash flow occurs when you make the repayments

If you pay interest (or fees) then this is an expense and a cash outflow

# Categories

## **There are no ‘standard’ categories for income and expenses**

Consider what information you would like to track or questions you would like to answer

... for instance “How much do I spend on ... ?”

... or “What are some ways that I can cut back in expenses ... ?”

... or “What information will the bank ask for when I apply for a home loan?”

## **Too many categories is too complex and difficult to interpret**

30+ categories is far too many to build a meaningful story

## **Too few categories is too simply and won’t answer your questions**

3 or 4 categories doesn’t provide enough detail to work out improvements

**Include a ‘Miscellaneous’ for things that don’t fit** (or estimate for things you missed)

**Choose categories that work for you!**

# Income Statement

Measured over last month

Round to nearest dollar

... or ten dollars is also okay

Best to also include

‘Miscellaneous’

For anything that ‘doesn’t fit’

... or estimate for what you missed  
(not included in this example)

\* Note that I am totalling upwards here

|                   | Last month   |
|-------------------|--------------|
| <b>INCOME*</b>    | <b>2,400</b> |
| After-tax wages   | 760          |
| Family support    | 1,600        |
| Interest received | 40           |
| <b>EXPENSES*</b>  | <b>2,360</b> |
| Rent              | 1,200        |
| Utilities         | 200          |
| Food and drink    | 280          |
| Transport         | 80           |
| Study             | 200          |
| Health            | 120          |
| Clothing          | 80           |
| Leisure           | 200          |
| <b>PROFIT</b>     | <b>40</b>    |

# Time Period

**Income statement is always measured over a period of time**

Week, Month, Calendar Year, Financial Year, Year to Date

**‘Week’ gives timely information but is often too variable**

**‘Year’ is good for ‘big picture’ but can feel a little too long to influence**

**‘Month’ is a good balance for most people**

Frequent enough that you can make corrections to spending behaviour

Long enough to ‘average out’ high expenditure in any individual day or week

‘Last 12 months’ can be good to track as well (assuming situation hasn’t changed)



# Time Period

Measured over last month

Year to date gives ‘big picture’

Assuming situation hasn’t changed  
and that you have been recording  
income and expenses for that long!

|                   | Last month   | Year to date  |
|-------------------|--------------|---------------|
| <b>INCOME*</b>    | <b>2,400</b> | <b>30,000</b> |
| After-tax wages   | 760          | 9,500         |
| Family support    | 1,600        | 20,000        |
| Interest received | 40           | 500           |
| <b>EXPENSES*</b>  | <b>2,360</b> | <b>29,500</b> |
| Rent              | 1,200        | 15,000        |
| Utilities         | 200          | 2,500         |
| Food and drink    | 280          | 3,500         |
| Transport         | 80           | 1,000         |
| Study             | 200          | 2,500         |
| Health            | 120          | 1,500         |
| Clothing          | 80           | 1,000         |
| Leisure           | 200          | 2,500         |
| <b>PROFIT</b>     | <b>40</b>    | <b>500</b>    |

\* Note that I am totalling upwards here

# Last 2 months

Compare last month  
with previous month

## Variation is difference

Last month minus Previous month

Red is bad

Blue is good

|                   | Last month   | Prev month   | Variation  |
|-------------------|--------------|--------------|------------|
| <b>INCOME*</b>    | <b>2,400</b> | <b>2,390</b> | <b>+10</b> |
| After-tax wages   | 760          | 750          | +10        |
| Family support    | 1,600        | 1,600        | 0          |
| Interest received | 40           | 40           | 0          |
| <b>EXPENSES*</b>  | <b>2,360</b> | <b>2,325</b> | <b>+35</b> |
| Rent              | 1,200        | 1,200        | 0          |
| Utilities         | 200          | 170          | +30        |
| Food and drink    | 280          | 270          | +10        |
| Transport         | 80           | 95           | -15        |
| Study             | 200          | 195          | +5         |
| Health            | 120          | 125          | -5         |
| Clothing          | 80           | 100          | -20        |
| Leisure           | 200          | 170          | +30        |
| <b>PROFIT</b>     | <b>40</b>    | <b>65</b>    | <b>-25</b> |

\* Note that I am totalling upwards here

# Percentages

Compared with total income  
by calculating percentage

$$\begin{aligned} \text{Savings Ratio} &= \frac{\text{Profit}}{\text{Income}} \\ &= \frac{40}{2400} \\ &= 1.67\% \end{aligned}$$

\* Note that I am totalling upwards here  
\*\* Percentages are rounded to nearest integer for simplicity

|                   | Last month   | % Income    |
|-------------------|--------------|-------------|
| <b>INCOME*</b>    | <b>2,400</b> | <b>100%</b> |
| After-tax wages   | 760          | 32%         |
| Family support    | 1,600        | 67%         |
| Interest received | 40           | 2%          |
| <b>EXPENSES*</b>  | <b>2,360</b> | <b>98%</b>  |
| Rent              | 1,200        | 50%         |
| Utilities         | 200          | 8%          |
| Food and drink    | 280          | 12%         |
| Transport         | 80           | 3%          |
| Study             | 200          | 8%          |
| Health            | 120          | 5%          |
| Clothing          | 80           | 3%          |
| Leisure           | 200          | 8%          |
| <b>PROFIT</b>     | <b>40</b>    | <b>**2%</b> |

# Large Expenses (and income)

**It can be useful to 'spread' large 'lumpy' expenses over several periods**

**This 'smooths out' expenses to make it easier to compare against budget**

## **Expense examples:**

|                         |                               |
|-------------------------|-------------------------------|
| \$360 annual insurance  | \$30 per month for 12 months  |
| \$1,200 annual holiday  | \$100 per month for 12 months |
| \$2,400 laptop computer | \$50 per month for 4 years    |
| \$120 clothing          | \$40 per month for 3 months   |

## **You can also do this with income:**

|                                |                                 |
|--------------------------------|---------------------------------|
| \$12,000 summer job            | \$1,000 per month for 12 months |
| \$24,000 lump-sum from parents | \$2,000 per month for 12 months |

**You choose the period to spread according to what 'makes sense'**

# Living with Parents

Parents often pay for some (many?) living expenses on your behalf

Building financial intelligence involves understanding true cost of living

Assume you are renting

... with your parents

... and sharing costs

Then add an offsetting

Income (Family support)

|                                | Per Month                    | My share % | My share \$   |
|--------------------------------|------------------------------|------------|---------------|
| <b>EXPENSES</b>                | <b>*4,600</b>                |            | <b>*1,060</b> |
| Rent                           | 2,000                        | 25%        | 500           |
| Utilities                      | 800                          | 25%        | 200           |
| Food and drink                 | 1,200                        | 25%        | 300           |
| Car                            | 600                          | 10%        | 60            |
| <b>INCOME</b> (Family Support) |                              |            | <b>1,060</b>  |
| <b>PROFIT</b>                  | Income – Expenses = <b>0</b> |            |               |

\* Note that I am totalling upwards here

# Financial Plan

One task for this week

## Income Statement (one month)

Estimate is okay

Consider comparing against ...

Previous Month

Budgeted income and expenses

Percentages

...

|                   | Last month   |
|-------------------|--------------|
| <b>INCOME</b>     | <b>2,400</b> |
| After-tax wages   | 760          |
| Family support    | 1,600        |
| Interest received | 40           |
| <b>EXPENSES</b>   | <b>2,360</b> |
| Rent              | 1,200        |
| Utilities         | 200          |
| Food and drink    | 280          |
| Transport         | 80           |
| Study             | 200          |
| Health            | 120          |
| Clothing          | 80           |
| Leisure           | 200          |
| <b>PROFIT</b>     | <b>40</b>    |

Comparisons?

# Summary: Income Statement

## Measured over period of time

In this case over the last month

## Compared against ...

Previous Month

Budgeted income and expenses

Year to Date

Percentages

...

|                   | Last month   | Previous     | Variation   |
|-------------------|--------------|--------------|-------------|
| <b>INCOME</b>     | <b>2,400</b> | <b>2,440</b> | <b>-40</b>  |
| After-tax wages   | 760          | 800          | -40         |
| Family support    | 1,600        | 1,600        | 0           |
| Interest received | 40           | 40           | 0           |
| <b>EXPENSES</b>   | <b>2,360</b> | <b>2,280</b> | <b>+80</b>  |
| Rent              | 1,200        | 1,200        | 0           |
| Utilities         | 200          | 220          | -20         |
| Food and drink    | 280          | 250          | +30         |
| Transport         | 80           | 90           | -10         |
| Study             | 200          | 180          | +20         |
| Health            | 120          | 110          | +10         |
| Clothing          | 80           | 50           | +30         |
| Leisure           | 200          | 180          | +20         |
| <b>PROFIT</b>     | <b>40</b>    | <b>160</b>   | <b>-120</b> |

## **Financial Statements**

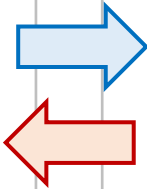
# **3. Cash Flow Statement**



# 3. Cash Flow Statement

## Balance Sheet

|               |       |
|---------------|-------|
| Assets        | 1,000 |
| – Liabilities | – 500 |
| <hr/>         |       |
| Wealth*       | 500   |



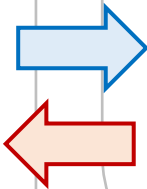
## Cash Flow Statement

|            |      |
|------------|------|
| Cash In    | + 90 |
| – Cash Out | – 88 |
| <hr/>      |      |
| Cash Flow  | + 2  |

**Tells you how your cash\* changed over a period of time**

## Income Statement

|            |      |
|------------|------|
| Income     | 100  |
| – Expenses | – 90 |
| <hr/>      |      |
| Profit     | 10   |



**Important for applying for loans  
... and making sure you can pay bills on time**

\* The term 'cash' means any funds that are readily available to pay your financial obligations. It includes any currency, transaction accounts and at-call savings accounts. An 'at-call savings account' is one in which the funds can be transferred to a transaction account within 24 hours.

# Cash Flow is like counting fish in your dam

**Sources of cash**  
**\$90 per day**

**Cash at start of day    \$8**

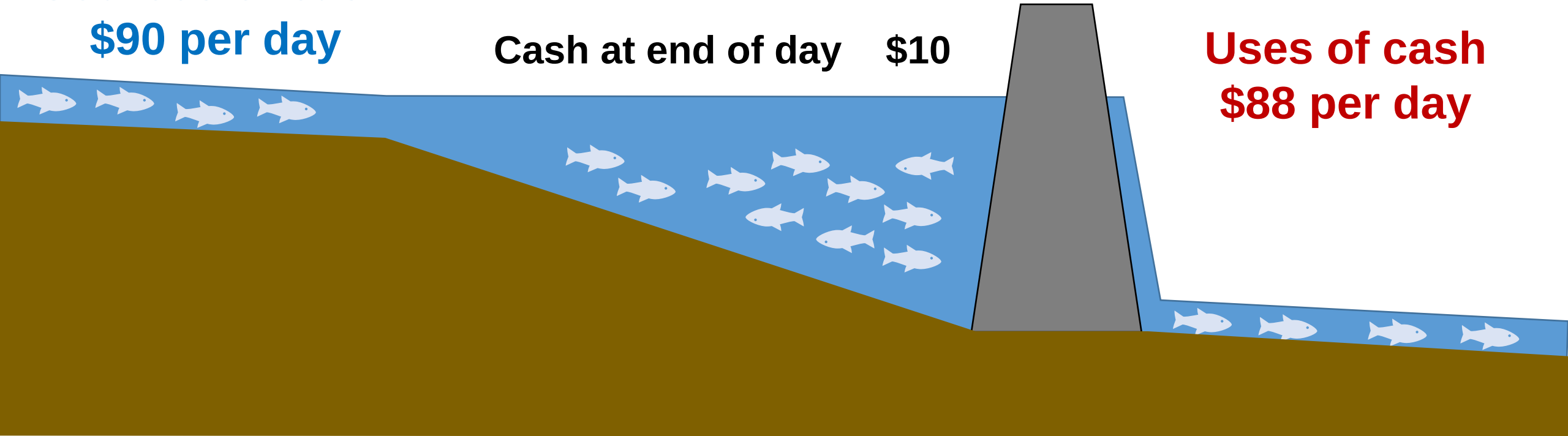
**Cash Flow                    + \$2**

**Cash at end of day    \$10**

## Cash Flow Statement

|            |      |
|------------|------|
| Cash In    | + 90 |
| – Cash Out | – 88 |
| Cash Flow  | + 2  |

**Uses of cash**  
**\$88 per day**



# Cash Flow matters when applying for Loans

Banks focus on cash flow when you apply for a loan.

They are usually interested in regular and reliable cash inflows (income)  
... and cash outflows (expenses and loan repayments)

**Negative** cash flow means your total cash will gradually reduce to zero

**Positive** cash flow means your total cash will gradually increase

# **Cash Inflow** (Sources of Cash)

**After-tax salary or wages**

**Financial support received from parents, scholarships or government**

**Interest on savings accounts**

**Dividends or distributions on shares**

**Rent from an investment property**

**Funds borrowed (liability)**

**Proceeds from sale of assets or investments**

# **Cash Outflow** (Uses of Cash)

**Living expenses**

**Purchase of new assets** (such as a vehicle or a computer)

**Purchase of new investments** (such as shares or property)

**Credit card payments**

**Home loan payments**

**Other loan payments**

# **Do NOT include non-cash items**

**Depreciation expenses on vehicle or computers**

**Unrealised gains in market value of investments**

# **Backwards or Forwards looking?**

**Cash Flow Statement is a record of the past**

**Cash Flow Budget is about the future**

- ... based on your expected future situation**

- ... usually with a commitment to make improvements.**

# Free Online Budget Planner

The Australian Government

MoneySmart Website

has a great budget planner!

Budget planner

View 

Annually

|                           |     |
|---------------------------|-----|
| ● Income                  | \$0 |
| ● Home & utilities        | \$0 |
| ● Insurance & financial   | \$0 |
| ● Groceries               | \$0 |
| ● Personal & medical      | \$0 |
| ● Entertainment & eat-out | \$0 |
| ● Transport & auto        | \$0 |
| ● Children                | \$0 |
| Summary                   | \$0 |



# Financial Plan

There is already enough to do for this Unit.

You do not need to include a budget in your Financial Plan.

However, you can choose to do it if you think it would be helpful to you!

# **Summary: 3. Cash Flow Statement**

**Tells a story of cash inflow, outflow and change in cash over a period**

It is important when borrowing money

... and making sure you can pay your bills on time.

**Cash inflows include your income, sales of assets and borrowed funds**

**Cash outflows include living expenses, purchase of assets and repayments**

**Do not include non-cash income or expenses (such as depreciation)**

# **Operating Leverage and Risk**

# Which subscription is better?

Option A: \$10 per month

Option B: \$100 per year

# COVID Lockdowns

# Effects of a short-term change in income?

## Fixed Fred



|          |           |
|----------|-----------|
| Income   | \$50,000  |
| Expenses | -\$50,000 |
| <hr/>    |           |
| Profit   | \$0       |

## Flexible Fiona



|          |           |
|----------|-----------|
| Income   | \$50,000  |
| Expenses | -\$50,000 |
| <hr/>    |           |
| Profit   | \$0       |

# **What is the effect on profit as income changes?**

**This will depend on what proportion of expenses are fixed and variable**

**Variable expenses do vary with short-term changes in income**

**Fixed expenses do not vary with short-term changes in income**

**Most expense categories have a fixed and variable component**

# **Fixed and Variable Expenses** with respect to short-term changes in income

## **Fixed\***

**Rent or home loan payments**

**Loan payments on vehicle**

**Basic food cooked at home**

**Electricity for lights and appliances**

**Public school expenses**

**Basic phone on pre-paid plan**

**Basic computer**

**Basic holiday**

## **Variable**

**Rent paid to parents**

**Rideshare expenses**

**Gourmet food and dining out**

**Electricity for air conditioning**

**Private school fees**

**Latest phone on contract**

**Latest computer**

**Luxury holiday**

\* What is perceived as 'fixed' or 'basic' can vary significantly between people based on life experiences and circumstances



# **Why are some expenses fixed or variable?**

**Moving out of home (away from parents) makes expenses more fixed**

**Lock-in contracts make expenses more fixed**

**Annual subscriptions or payments make expenses more fixed**

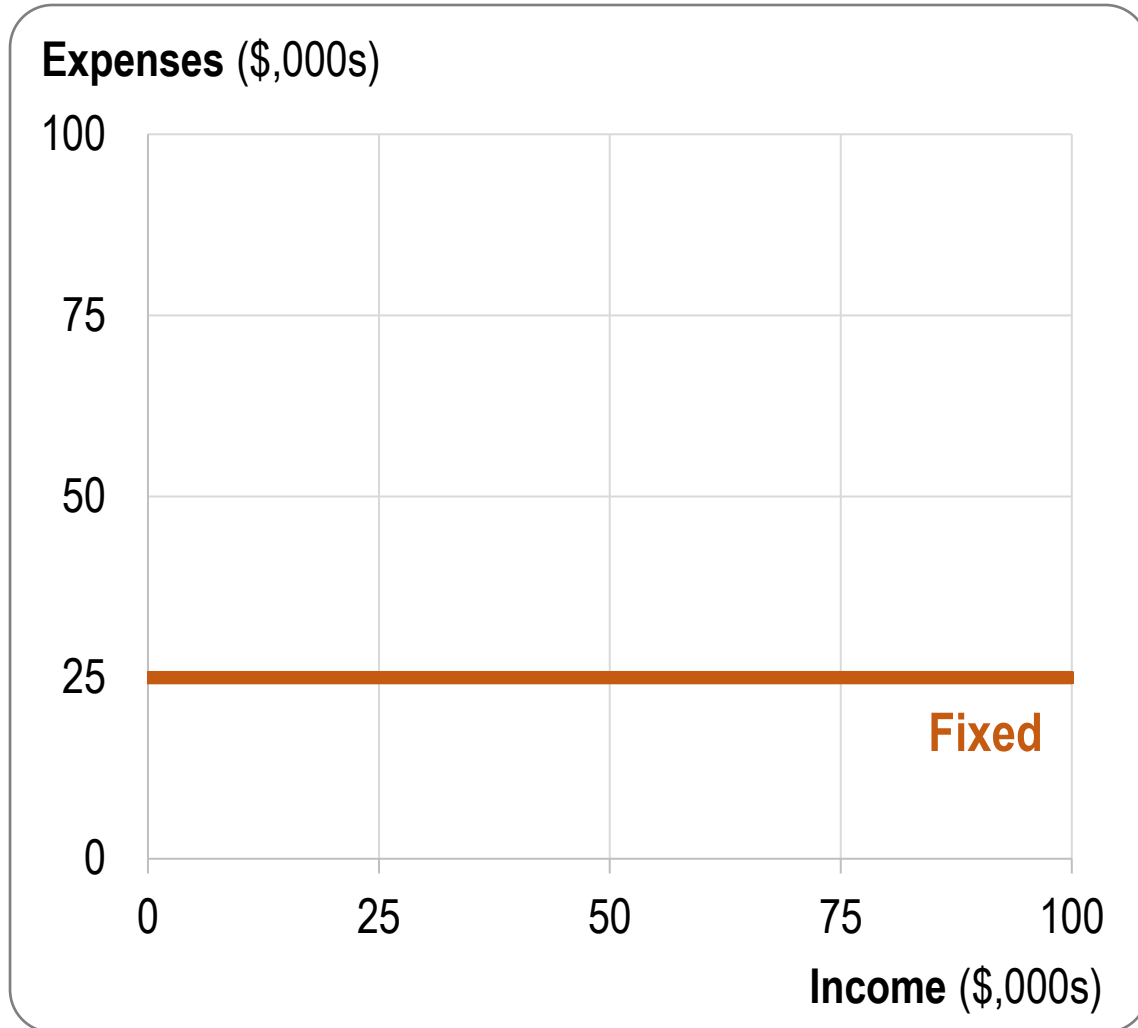
**Purchases that are 'urgent' make them more fixed**

**Perceived necessities are more fixed than non-necessities**

**'Fear of loss' makes more expenses more fixed**

**Supportive parents can make some expenses more variable**

# Fixed Expenses

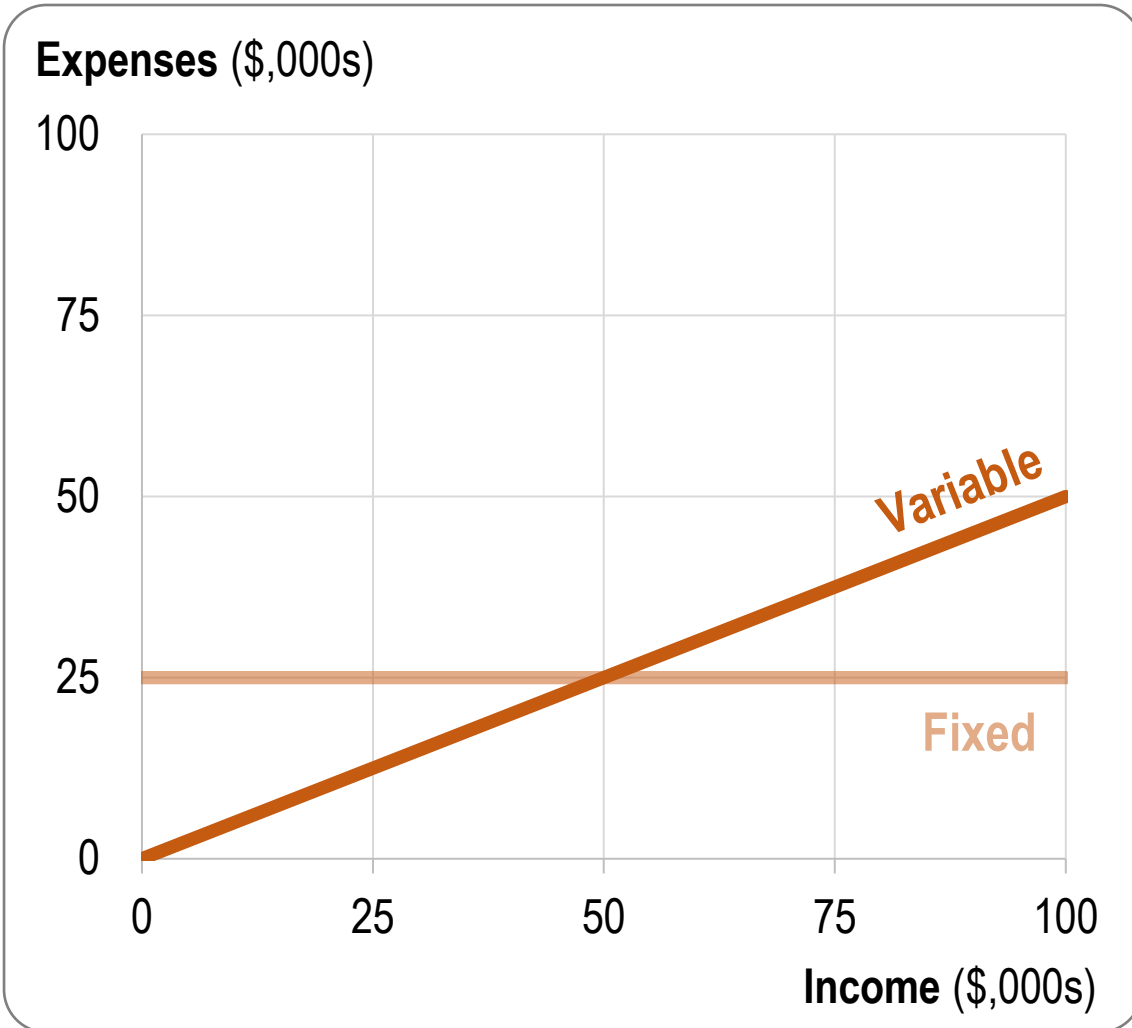


Do not vary with income

... in the short-term

**Fixed Expenses = \$25,000 per year**

# Variable Expenses



Do vary with income

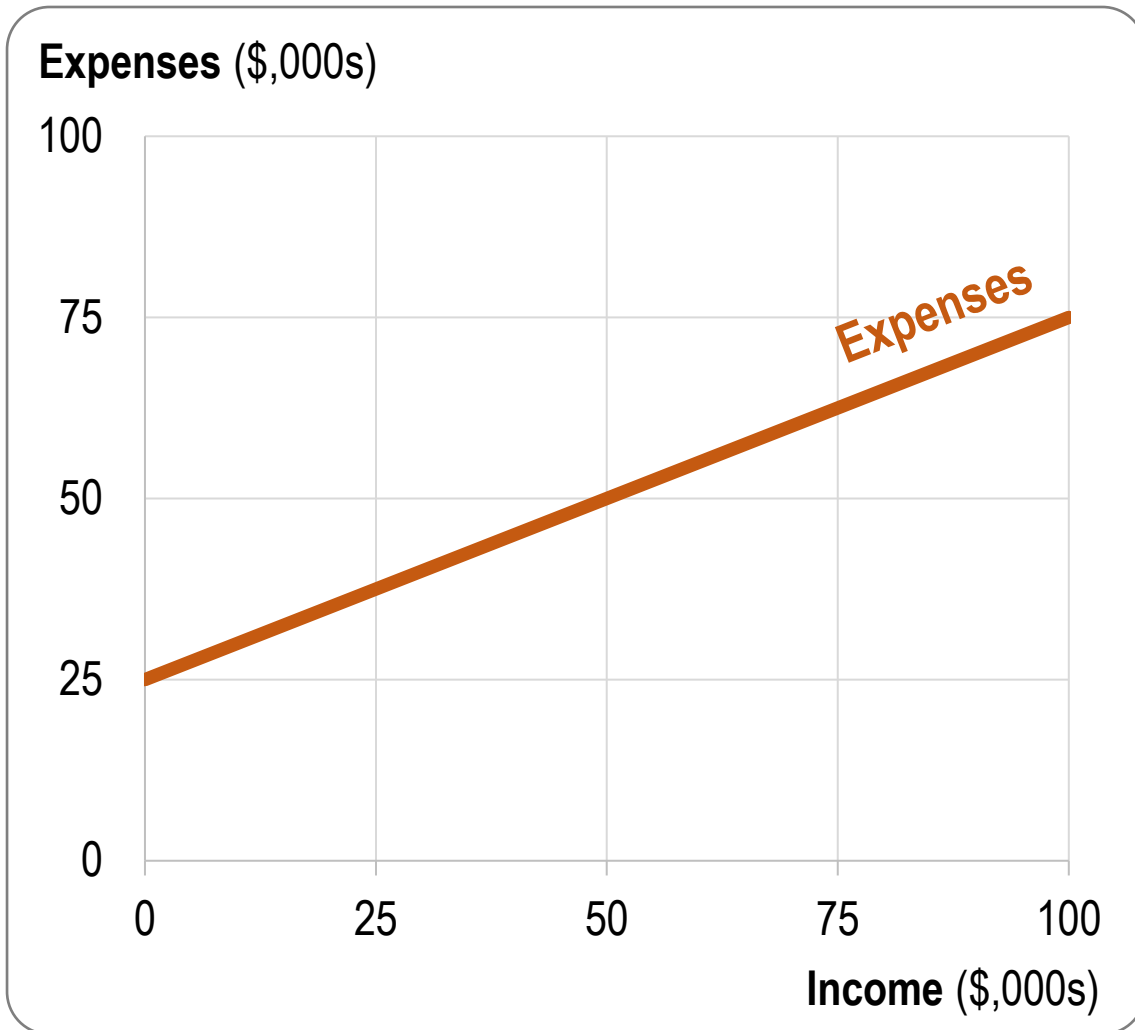
**\$0.50 for each additional \$1 in income**

# Total Expenses = Fixed + Variable



Total Expenses = Fixed + Variable

# ~~Total~~ Expenses



**From this point forwards**  
**Expenses = Total Expenses**

# Income



**Income is a 45 degree line**

**This is because the same variable is on the horizontal and vertical axis**

# Profit (Saving)



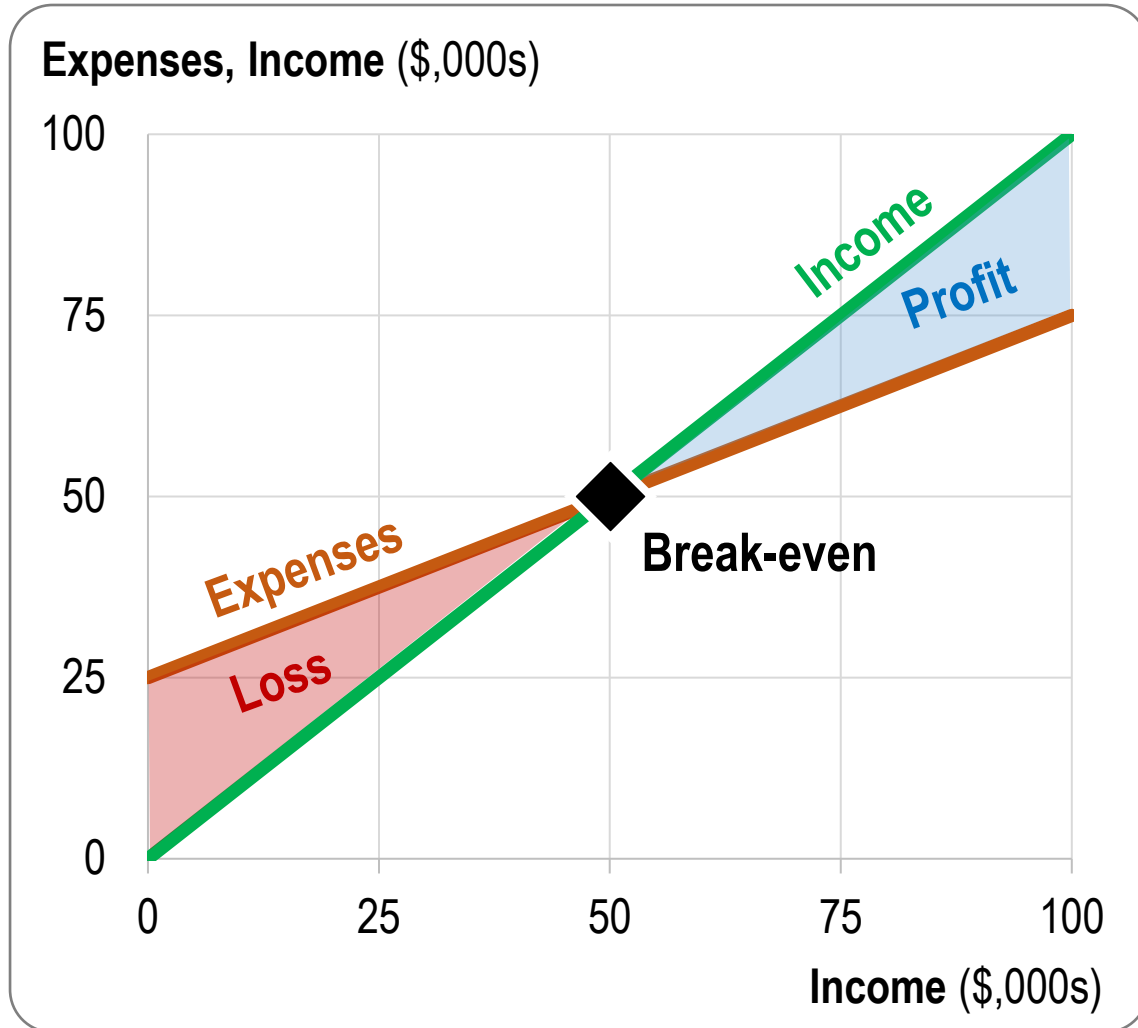
**Profit = Income – Expenses**

**Profit is the vertical distance between  
Income (green) and Expenses (orange)**

**If Expenses < Income then Profit**

**If Expenses > Income then Loss**

# Break-even point



**Breakeven is when Profit = 0**

**This is when Expenses = Income**

**Income = \$50,000 in this example**



# Operating Leverage

If most expenses are fixed, you have ‘**high operating leverage**’

A short-term fall in income can result in a **large loss**

... but a short-term increase in income can result in a **large profit**

If most expenses are variable, you have ‘**low operating leverage**’

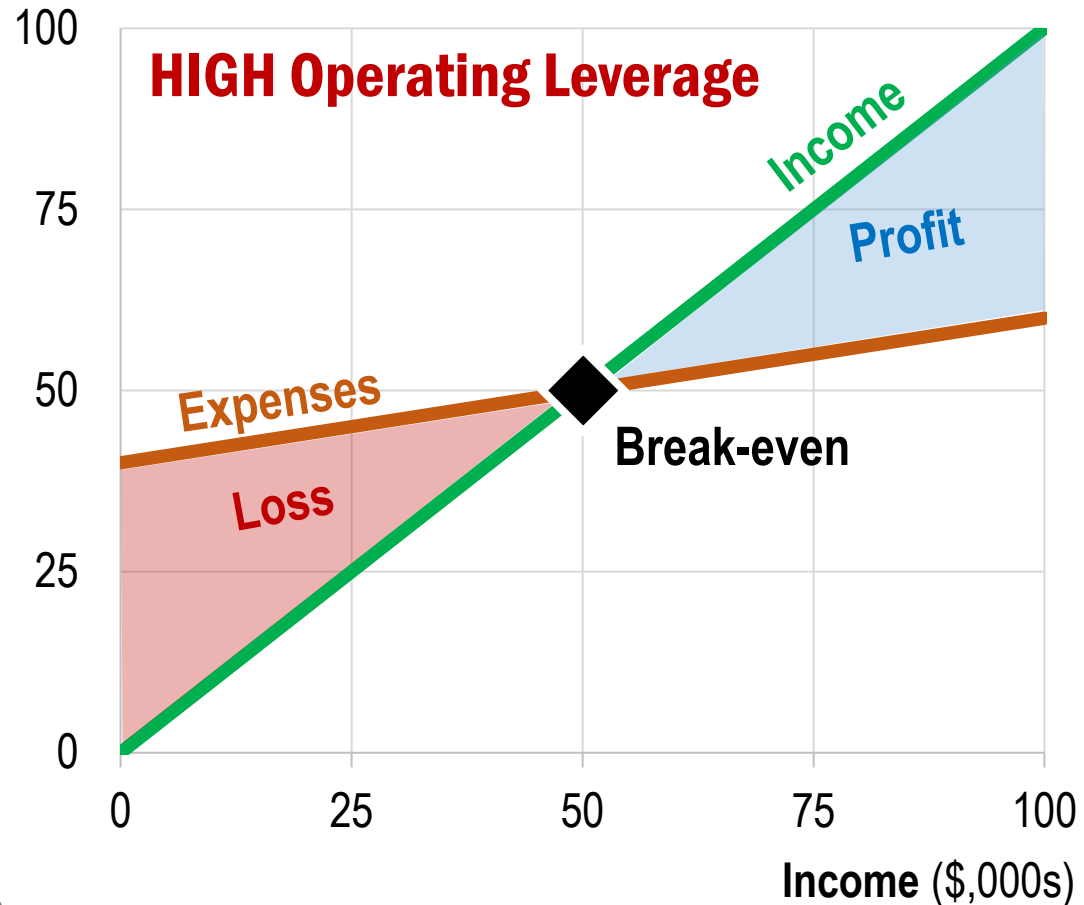
A short-term fall in income can result in a **smaller loss**

... but a short-term increase in income only results in a **small profit**

# Operating Leverage and Risk Visualised

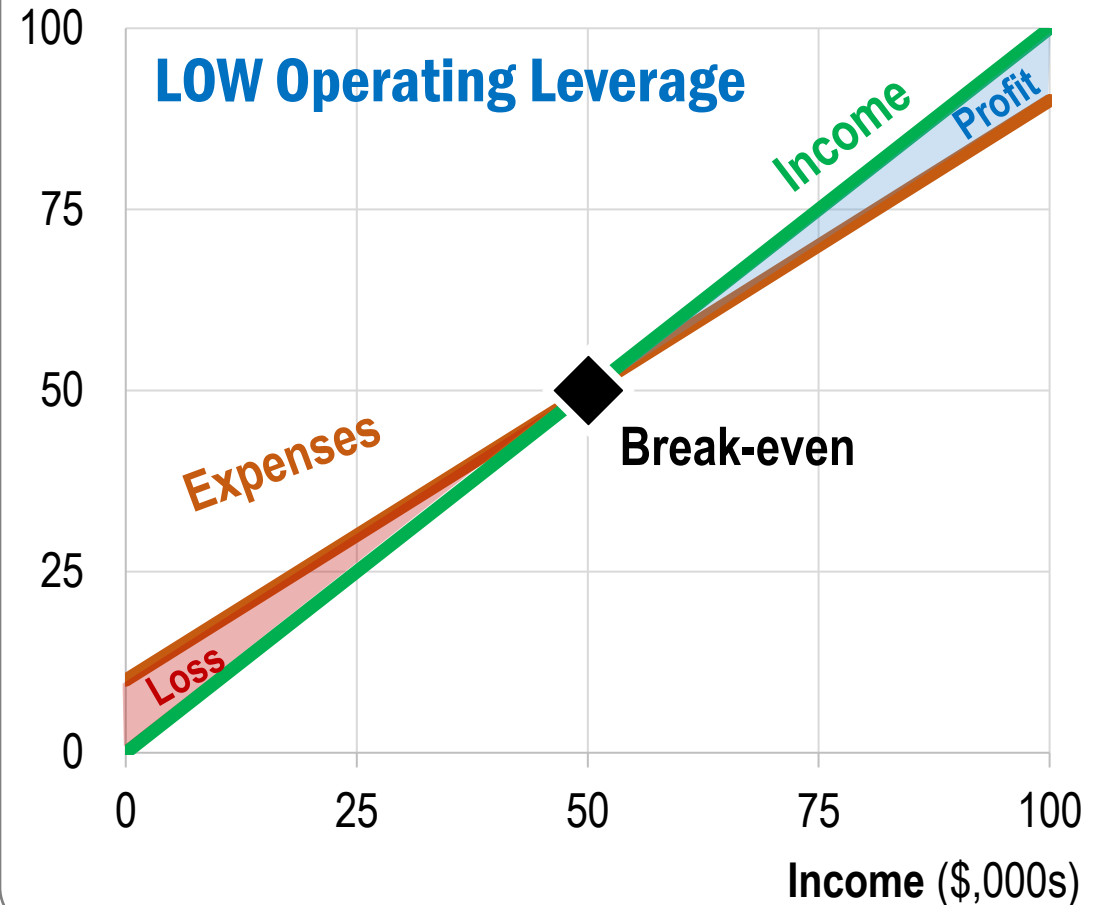
## Fixed Fred

Expenses, Income (\$,000s)



## Flexible Fiona

Expenses, Income (\$,000s)



# Operating Leverage changes with Life Stage

| Life Stage                                | Operating Leverage | Risk of Loss |
|-------------------------------------------|--------------------|--------------|
| Living at home with parents               | Low                | Low          |
| Single living out of home                 | Moderate           | Moderate     |
| Couple with dependent young children      | High               | High         |
| Couple with independent adult children    | Moderate           | Moderate     |
| Financially dependent retiree (poor)      | High               | High         |
| Financially independent retiree (wealthy) | Low                | Low          |

# Let's consider some other people

**Extravagant Edward**

**Thrifty Timothy**



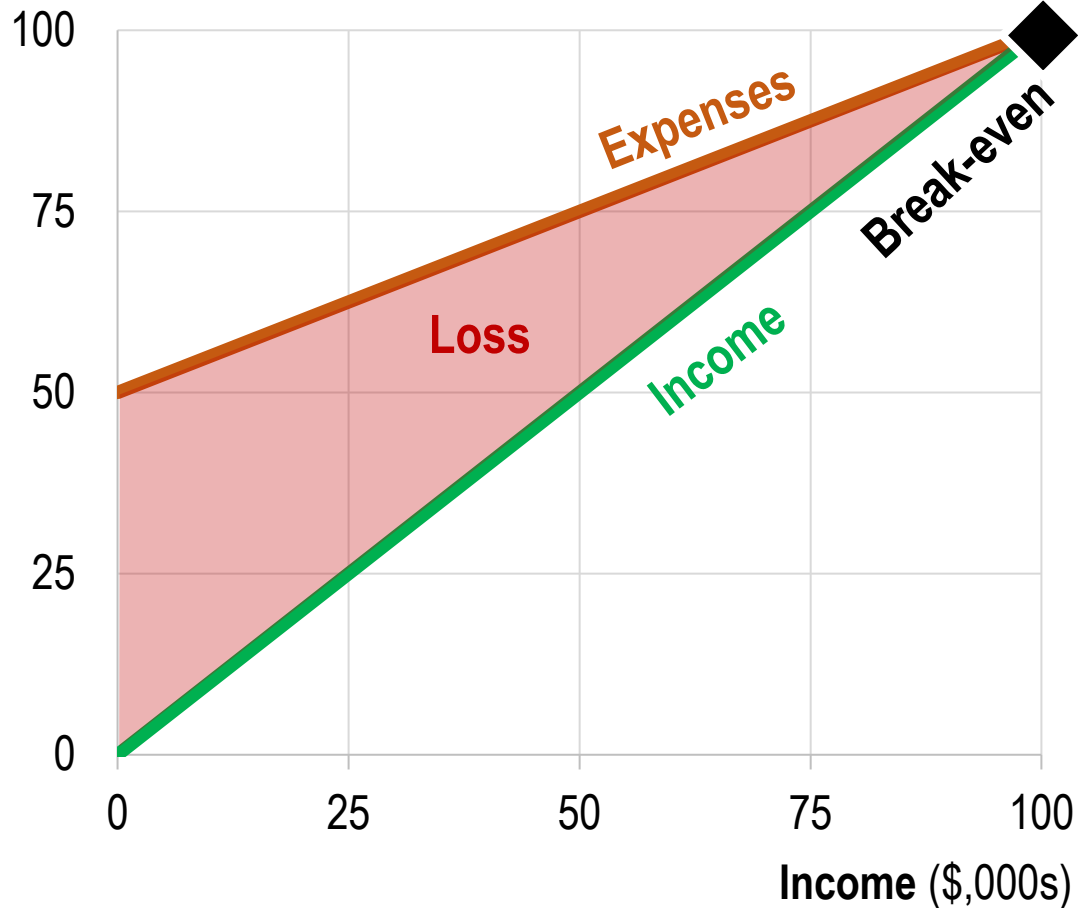
**Convex Katrina**

**Concave Kelly**

# Edward and Timothy

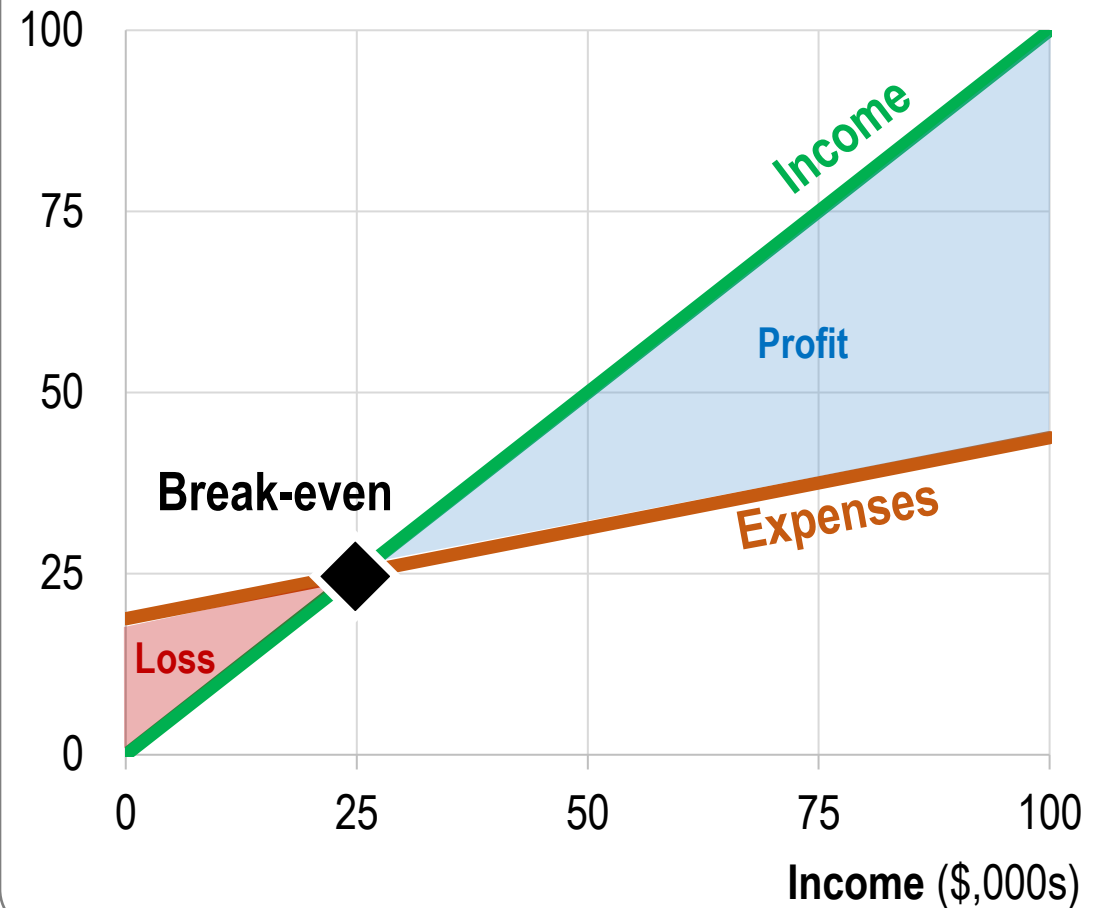
## Extravagant Edward

Expenses, Income (\$,000s)



## Thrifty Timothy

Expenses, Income (\$,000s)

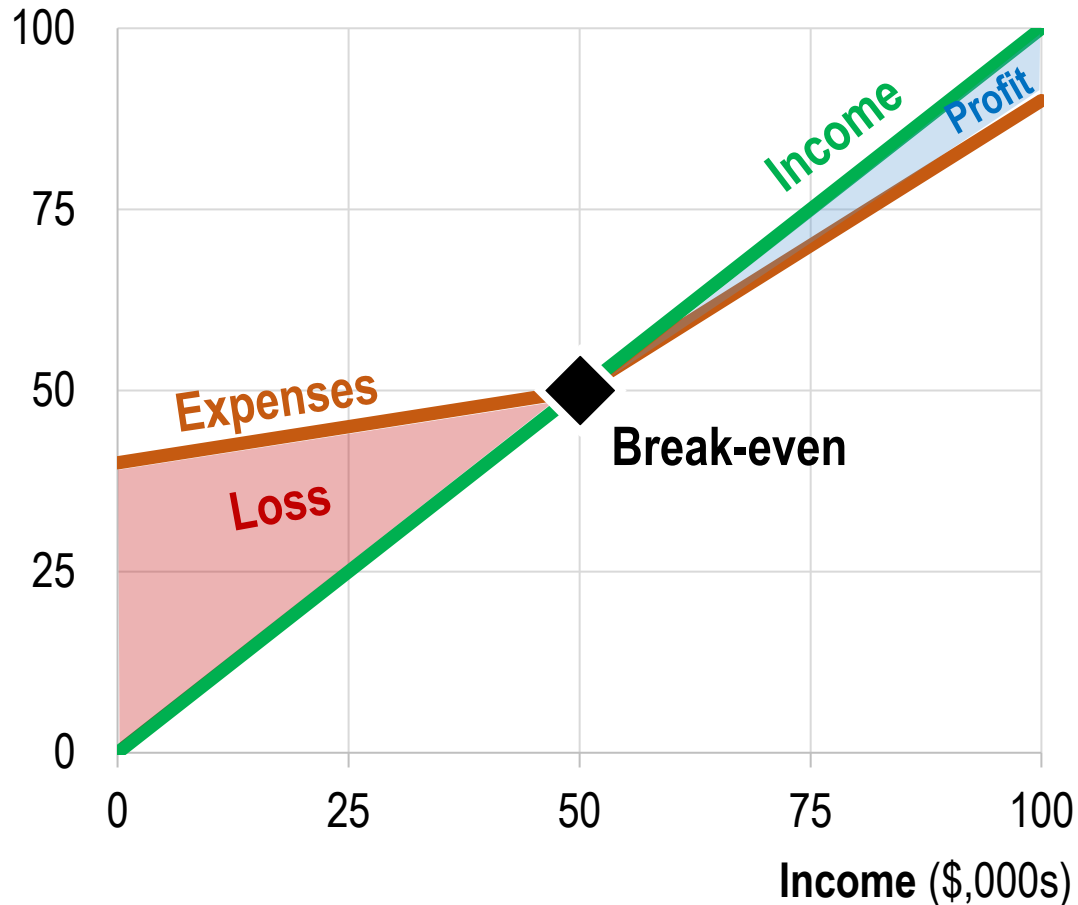


# Katrina and Kelly

Expense functions may be curves in real life but I have drawn them as kinked straight-lines here for simplicity.

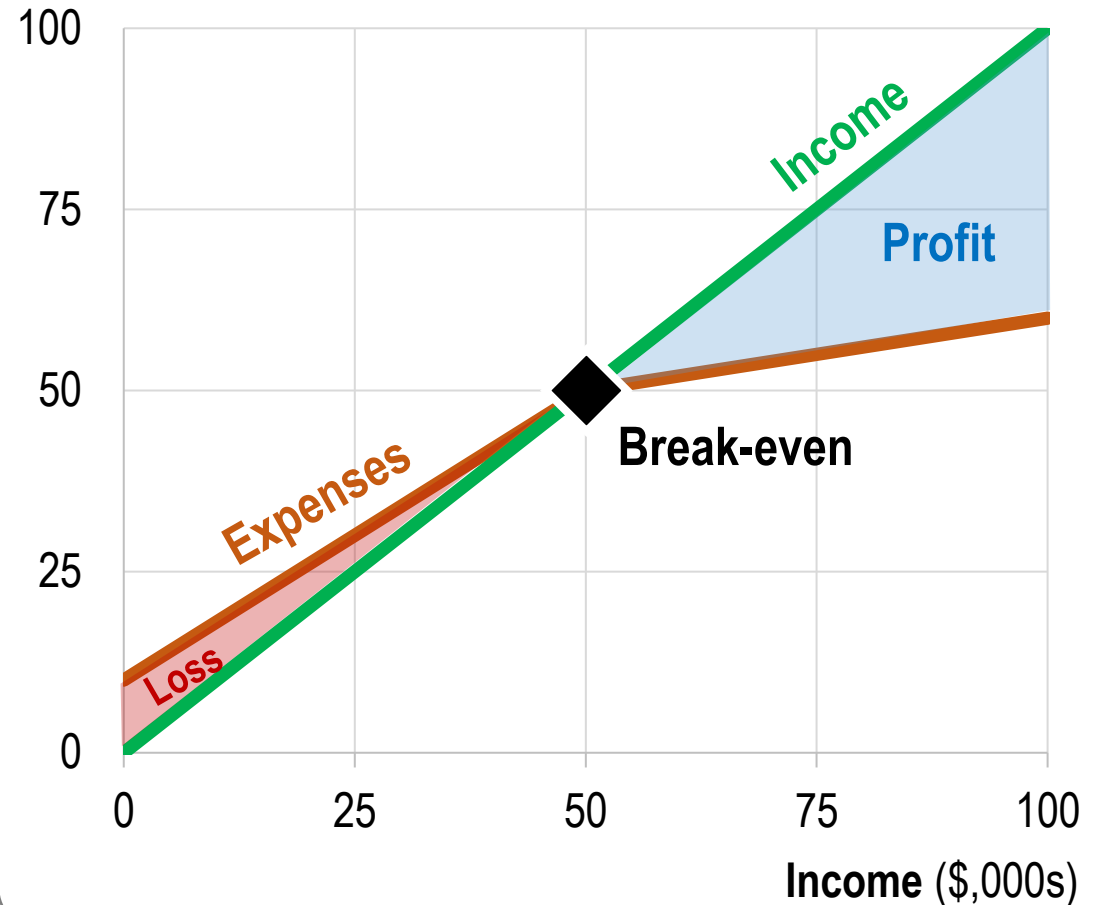
## Convex Katrina

Expenses, Income (\$,000s)



## Concave Kelly

Expenses, Income (\$,000s)



# A few points to consider

## 1. Fixed and variable costs will change with your situation and life stage

Single student, single worker, stable couple, couple with children, retired couple.

## 2. Income uncertainty varies significantly between different people

Casual work versus full-time contract

Seniority, experience and individual performance

Company, industry and economic volatility

## 3. Support from extended family can make a difference

Assistance with first home and ability to 'move back home' in worst-case scenario

## 4. Flexibility and contentment can make a difference

Flexibility to significantly cut costs if income decreases

Contentment with existing spending levels if income increases



# Do they remind you of anyone?

**Extravagant Edward**

**Thrifty Timothy**



**Convex Katrina**

**Concave Kelly**



# **Summary: Operating Leverage**

**Someone has high operating leverage if most of their costs are fixed**

**A sudden fall in income can expose them to a large loss**

**Be careful about taking on too many fixed expenses**

**However, they are unavoidable at certain life stages (couple with children)**

**Visualising how your expenses vary with changes in income is helpful**

**Flexibility, contentment and support from family are all very helpful**

# **Final Tips**

# **1. Don't buy into the lie ...**

**... that 'buying more things' will make you happy.**

**Be clear about your core values and make decisions accordingly**

## **2. Have a written financial plan**

**... with clearly articulated goals that are consistent with your core values and life principles ... and strategies to achieve those goals.**

# **3. Budget and track expenses**

**... to help with planning and to maintain financial control**

## **4. Save for peace of mind**

**Build up a 'Cash Buffer' in your transaction account to manage cash flow**

**Build up 'Emergency Fund' in a savings account**

# **5. Save to spend**

**Plan for big expenses over the next 5 years and save towards them**

**Avoid 'buy now pay later' such as credit cards and Afterpay**

**Don't borrow and pay interest to finance expenses or depreciating assets**

**Only borrow money to finance assets that will increase in value**

# **6. Save to invest**

**... at least 20% of your income**

**... to make saving and investing a life-long habit**



# **7. Plan to own your home debt-free**

**... to provide long-term control over living expenses**

# **8. Plan to be financially independent**

**... to build an investment portfolio that covers all living expenses**

# 9. Protect the things you value

Identify risks then manage those risks using the acronym MEAT

## 1. Mitigate the risk

Take steps to reduce the probability and/or impact of the bad outcome

## 2. Eliminate the risk

Remove yourself from the risky situation completely

## 3. Accept the risk

Set aside some funds (financial slack) to effectively 'self-insure'

## 4. Transfer the risk ... by paying the premium

Buy insurance, transfer or share the risk with a third-party

'Mitigate' means to make the force or intensity of something bad (such as grief, pain or punishment) less severe.  
Chris Davenport (2012) 'Risk Management' at TEDxMileHigh (on Youtube)

# **10. Build financial intelligence**

**... a life-long activity, through study, reading and advice**

# Financial Plan Assignment

| #  | Section                | Unit     |
|----|------------------------|----------|
| 1  | Current Situation      | 1        |
| 2  | Life Planning          | 2        |
| 3  | Financial Strategy     | 2        |
| 4  | Financial Independence | 3        |
| 5  | Career Strategy        | 4        |
| 6  | Property and Loans     | 5        |
| 7  | Risk Management        | 7        |
| 8  | Taxation Planning      | 8        |
| 9  | Investment Strategy    | 9 and 10 |
| 10 | Action Plan            | 10       |

# **Privacy**

**Your Financial Plan assignment includes personal information**

**It is not used for any other purpose than assessment for this course**

**I am marking 100+ so I won't remember any details**

**It will be uploaded to Turnitin for plagiarism detection**

**If you are concerned, you can change, omit or redact**

**details you are concerned about, such as current income or assets**

**(it is very rare that anyone does this)**

# **Your Financial Plan**

## **1. Current Situation**

- a) Basic Information**
- b) Income Statement**
- c) Balance Sheet**
- d) Insurance**
- e) Estate Planning**
- f) Anticipated Irregular Cash Outflows**

**More information under 'Financial Plan Instructions' document**

... on the course website under 'Financial Plan' section

# **Join us in a Drop-in Session**

**Each week we have a drop-in Q&A session on Zoom**

**Details are on the course website under ‘Getting Started Hub’**

**Bring along some questions that you have about the Unit.**

**Sessions are not recorded.**

**You are also welcome to ask questions on the ‘General Forums’**